

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**COMPLAINANT'S RESPONSES TO RESPONDENTS'
PROPOSED FINDINGS OF FACT**

Complainant OJ Commerce, LLC (“OJC,” “OJ Commerce,” or “Complainant”), by and through its undersigned counsel, hereby files, pursuant to 46 C.F.R. § 502.214 and the Scheduling Order dated 03/10/2022 at 2-3, its Responses to Respondents’ Proposed Findings of Fact:

A. The Parties

1. OJC is a Delaware limited liability company with its principal place of business in Broward County, Florida. CX466. Jacob Weiss is OJC’s founder, owner, and CEO. CX466.

RESPONSE: Admitted

2. Mr. Weiss is also the founder, owner, and CEO of Naomi Home, Inc. (“Naomi Home”), an affiliate of OJC that shares the same offices as OJC. RX998-99, 8:2-22; 13:25-14:1.

RESPONSE: Admitted that Mr. Weiss is also the founder, owner and CEO of Naomi Home Inc

3. Naomi Home is a Delaware corporation with a principal place of business at Broward County, Florida. CX135.

RESPONSE: Admitted

4. HSDG operated as ocean common carrier until October 31, 2021. CX067-CX068.

RESPONSE: Admitted

5. On November 1, 2021, HSDG was merged into its former parent company Maersk A/S. CX067-CX068. Maersk continues to operate the “Hamburg Sud” brand, which offers different services than Maersk A/S. RX1120, ¶ 4 (WR).

RESPONSE: Admitted.

6. HSNA was, until November 1, 2021, a wholly-owned subsidiary of HSDG that acted as the U.S. general agent of HSDG. On that date, HSNA became a wholly-owned, indirect subsidiary of Maersk A/S. On January 1, 2022, HSNA was merged into Maersk Agencies USA, Inc., the U.S. subsidiary and general agent of Maersk A/S. CX101, ¶ 2.

RESPONSE: Admitted.

7. HSNA's only business was to act as the general agent of its ocean common carrier parent, HSDG. CX102, ¶ 3. HSNA was not an ocean transportation intermediary (“OTI”), or a common carrier in its own right. CX102, ¶ 3, 5.

RESPONSE: Denied. HSNA acts as the transportation intermediary. *See* RX890-91 (coordinating space, and signed by “Hamburg Süd North America”); RX830 (discussing financials and signed by “Hamburg Süd North America”). HSNA was also a signatory to the service agreement. CX119.

8. HSNA was not engaged in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49. CX102, ¶ 4.

RESPONSE: Admitted.

B. OJC’s E-Commerce Business

9. OJC is an e-commerce retailer that sells “dropship” products from hundreds of brands. CX467 ¶ 2; RX998-99, 9:20-11:15. With respect to these “dropship” products, OJC acts as an authorized reseller for third parties, and orders placed with OJC are fulfilled (i.e., delivered) by third-party retailers. OJC does not manufacture or incur ocean carrier shipping costs for these “dropship” products. RX1002, 22:21-25; 23:1-7.

RESPONSE: Admitted

10. OJC also has a direct import business where OJC buys household goods, including a wide variety of furniture and office products, for sale in the U.S. OJC imports these products into the U.S. from Asia and Brazil. CX467 ¶ 2; RX998-99, 9:20-11:15.

RESPONSE: Admitted

11. This dispute involves OJC’s import business, not the “dropship” business. CX467

¶ 2; RX998-99, 9:20-11:15.

RESPONSE: Admitted

12. Naomi Home is OJC's most popular "private label brand" in its import business, but OJC also imports and sells products under other brand names. RX998, 9:1-8; RX1009, 74:15-76:11.

RESPONSE: Admitted

13. Naomi Home products are manufactured primarily in Asia and Brazil and imported into the United States by ocean carriers. RX1009, 74:10-14. These Naomi Home products are the foundation of the "import business" upon which OJC bases its loss claims in this proceeding. OJC's Proposed Findings of Fact, ¶ 17-19.

RESPONSE: Admitted

14. OJC uses overseas agents in Asia and Brazil to arrange and secure bookings with ocean carriers. RX1006, 62:19-64:12; CX169; RX915-15.

RESPONSE: Admitted

15. From June 1, 2020 to May 31, 2021, OJC imported Naomi Home and other products from Asia and Brazil to OJC's warehouses in City of Industry, California and Louisville, Kentucky. CX203.

RESPONSE: Admitted

16. According to Mr. Weiss, 70% of OJC's volume is routed to OJC's warehouse in Louisville, Kentucky. CX203.

RESPONSE: Denied. CX203 refers to a particular proposal only.

17. OJC refused to produce any financial statements, such as balance sheets, income statements, cash flow statements, and profit and loss statements in response to Respondents'

discovery requests. RX1121, ¶ 12 (WR).

RESPONSE: Denied. OJC produced all financial records that were relevant and existed.

18. The only financial documents OJC produced (other than two valuation analyses, which are no longer relevant, *see* OJC Brief at 33, n.121) are two iterations of an Excel spreadsheet containing damage data and calculations created by Mr. Weiss. Rohde Ex. 1 (July 14, 2022 version); Weiss Ex. 101 (September 2, 2022 version).

RESPONSE: Denied. Mr. Weiss did not “create” the calculations in Weiss Ex. 101. The supporting financial information contained in Weiss Ex. 101 includes (a) data of the 737 containers shipped by OJC from June 1, 2020, around when the parties’ Service Contract started, until June 2020 - July 2022. For each container, OJC provided Maersk with 13 points of data, including but not limited to the exact origin, destination, shipping carrier, ship date, arrival date, container value, and the exact price paid; (b) a total of 2,830 records of all the contents in the 737 containers. For each line item, OJC provided 12 points of data, including but not limited to the product descriptions, total units, unit cost, profits, revenue, and pricing; and (c) a total of 366,709 records of sales history on all those products, starting from January 1, 2020, to August 17, 2022. For each sales transaction, OJC provided 12 points of data, including the order number, order date, order source, price paid, item ordered, quantity ordered, cost of shipping, cost of fulfillment, commissions, marketing, discounts, sales, and gross revenue, all from OJC’s internal database used for its day-to-day business operations. (SCX511, ¶ 7.) Mr. Weiss worked with Mr. Berning, who made his own calculations based on the financial records contained in Ex. 101. RX 1044, 58:3 – 59:7; RX 1041, 47:3 – 48:2; RX 1043, 55:2-17. OJC also produced financial forecasts, [OJ Ex. 100], and OJC has produced two expert reports, [OJ Exs. 200, 201].

Additionally, the two valuation reports are still relevant. Respondent mischaracterizes OJC's Brief footnote. Just because OJC is not "focusing" on it in its Brief does not make it irrelevant. It is part of OJC's expert report and presents a method of calculating damages for the Court.

19. Mr. Weiss was only able to estimate OJC's *total* annual revenue during his deposition. He testified that OJC's revenue was approximately: (i) [REDACTED] in 2019; (ii) [REDACTED] in 2020; (iii) [REDACTED] in 2021; and (iv) [REDACTED] through August 14, 2022. RX1002, 24:14-25:1; 25:15-19.

RESPONSE: Denied. The question was "sales revenue," not "total revenue," and testified that he "don't recall the specific year and a specific number." RX1002, 24:24-25:1.

20. Neither OJC nor Mr. Weiss ever identified what portion of OJC's total revenue was attributable to the "import business," which is at issue in this proceeding, as opposed to the "dropship" business.

RESPONSE: Denied. OJC produced sales records of all "import business," sales between Jan. 2020 and Aug. 2022. [OJ Ex. 101, Sales Tab].

21. Moreover, given that OJC's import business is primarily attributable to Naomi Home (together with a small amount of other branded products), OJC appears to be seeking to recover lost profits that may have been sustained by Naomi Home, not OJC. RX1153 ¶ 26.

RESPONSE: Denied. OJC is the direct importer and buyer of household goods including a wide variety of furniture and office products, globally for sale in the United States. [CX467, ¶ 4].

22. In December 2020, there were some credit issues relating to Naomi Home that delayed certain shipments. RX656-59.

RESPONSE: Denied. Respondent mischaracterizes its refusal to release shipments without a letter of guarantee as “credit issues,” when in fact, it was an “issue” wholly created by Respondents’ actions. RX656

C. Contract Negotiations Between HSDG and OJC

23. On May 15, 2020, OJC invited HSDG to submit a bid to transport cargo on certain trans-Pacific trade lanes. OJC’s original request focused primarily on Asia to Kentucky trade lanes, which required inland transportation from U.S. East Coast ports to Louisville, Kentucky. RX1131-32, ¶ 4.

RESPONSE: Denied. Respondent mischaracterizes an email by Casanova. It simply stated that OJC seeks a bid for CA and KY. Additionally, OJC repeatedly “informed [Respondent] that if Kentucky was again an issue, OJC could ship all [Containers] through California.” [CX175, ¶ 35].

24. HSDG declined to bid for this business because it was in the process of reducing the Asia to Kentucky trade lanes for all customers due to increased inland transport costs as well as operational issues such as trucker and chassis shortages. RX1131-32, ¶ 4; CX248 (“This is mainly IPI to inland Louisville, KY that we are trying to reduce. Please decline.”).

RESPONSE: Admitted that Serena Cheung “initially,” declined, but the reason given thereof is Denied. Serena Cheung did not state the reason for why Respondent was trying to reduce IPI to inland KY. Respondent omits multiple critical points from the conversation, namely:

(1) That this decision was not final, as Diana Bekova stated that although “TPEB declined it completely, but I will leave it for Serena to comment.” CX247.

(2) Casanova continued to inquire about the KY route on May 26, “Regarding the KY destination, can you offer a P2P rate and we check the on-carriage thru L&S? if so

, pls advise your best offer.” [CX244]., July 8, “I want to revisit the Kentucky business.” [CX243], “Is there anything we can do to obtain this business for Louisville KY?” [CX 242].

(3) On July 8, Dennis Seeraj, the Logistics & Services Manager, stated that he “would have love to take a look before we declined” [CX 242].

(4) On the evening of July 8, Rodrigo Pestana, Respondent’s Product Management - Transpacific Manager, stated that although “Louisville is one of the ramps with negative impact in our PnL ... **We’ll make an offer** however if customer accepts this,” [CX242].

25. HSDG did transport cargo to inland destinations—including Kentucky—from Brazil and other South American ports, as these trade lanes were part of HSDG’s core business. RX1132, ¶ 6. On the other hand, HSDG did not have substantial trade on trans-Pacific trade lanes. RX1132, ¶ 6. HSDG’s share in the trans-Pacific trade was [REDACTED] RX988A, 163:6 (JP).

RESPONSE: Admitted that HSDB transported to KY from both Brazil and China. The remainder is denied. Respondent mischaracterizes testimony from Mr. Pump that was in response to “spot market,” only [RX988A, 163:2-3](“how does this play into the spot market”)

26. Rodrigo Pestana, HSDG’s former Transpacific Manager, stated that transporting cargo from Asia to Kentucky would have had a “negative impact in our PnL.” CX242; RX1132, ¶ 6.

RESPONSE: Denied. Pestana referred to Louisville only, which is one of the ports used to Kentucky. There were also options to use “Charleston to Norfolk,” as proposed by Casanova, [CX243]. Additionally, in that very same email, Pestana proposed a viable

solution to enter a contract to ship to Kentucky at a rate that seems not to negatively impact Respondent's PnL.

27. Mr. Weiss told Andrea Casanova, an HSDG sales representative, that OJC entered service contracts with other ocean carriers to handle the Asia to Kentucky trade lanes, which he said accounted for 1,266 FFEs per year, the bulk of OJC business. RX1132, ¶ 7; CX243 ("The original volume was 1266x40hc per year (pls see attached), but the customer had already signed a contract with other carriers since we rejected it initially.").

RESPONSE: Admitted that OJC entered into service contracts with other carriers, the rest is denied. Respondent mischaracterizes the destination with the origin. Casanova stated that "The main POLs are Ningbo, Xiamen, Yantian and Ho chi Minh." These are ports of origin, not ports of destination.

28. Ms. Casanova subsequently negotiated a service contract with Mr. Weiss for a limited amount of OJC's cargo needs on the Asia to California trade lanes. RX1132-33, ¶¶ 8-9.

RESPONSE: Admitted.

29. On May 26, 2020, Mr. Weiss declined HSDG's initial offer for this business because he said the rates HSDG proposed were higher than the rates OJC was paying under existing service contracts with OOCL and Hyundai. RX1132-33, ¶ 8; RX637. However, HSDG and OJC were subsequently able to come to an agreement. RX1132-33, ¶¶ 8-9; RX624.

RESPONSE: Denied that Mr. Weiss declined the initial offer. The email simply states that the rates were higher, it doesn't mention the word "declined." To the contrary, the email states that "OJ Commerce grew nearly 400% in sales compared to the initial year's forecast and the trend is estimated to continue. Due to the above, they trust that they have and will have volume to meet the amount committed to each carrier." [RX638]. Admitted

that OJC came to an agreement.

D. The 2020-21 Service Contract Between HSDG and OJC

30. In June 2020, HSDG and OJC entered a service contract effective from June 23, 2020 to May 31, 2021 (the “Service Contract”). CX119-135. OJC agreed to tender, and HSDG agreed to transport, a minimum of 200 forty-foot equivalent units (“FFEs”)¹ from Asia to California at specified rates. *Id.*; RX1133, ¶ 9.

RESPONSE: Admitted.

31. The specific trade lanes covered by the Service Contract are from Asia to City of Industry, California and are set forth in the Appendix. CX126-CX134. The Service Contract does not include the Asia to Louisville, Kentucky trade lanes. *See id.*; RX1133, ¶ 9.

RESPONSE: Admitted.

32. The Service Contract imposes a Minimum Volume Commitment (“MVC”)² of 200 FFEs (or 400 TEUs) during the Contract Term from June 23, 2020 to May 31, 2021. CX120, § 3(a); CX125 (“Minimum Volume Commitment”).

RESPONSE: Admitted.

33. The Service Contract does not specify a minimum volume commitment on a weekly, monthly, or quarterly basis; the Minimum Volume Commitment is 200 FFEs over the entire 49-week Contract Term from June 23, 2020 to May 31, 2021. *Id.*; RX1133, ¶ 11.

RESPONSE: Denied. The Service Contract states that the MVC “shall be reasonably spaced throughout the term hereof.” [CX125]. This interpretation of the agreement was also confirmed by Respondent. [CX153] (“Please note that there is a MQC of 10 TEUS

¹ 200 FFEs is equivalent to 400 twenty-foot equivalent units (“FEUs” or “FFEUs”). CX420 ¶ 29.

² The Minimum Volume Commitment is also referred to as a “Minimum Quantity Commitment” or “MQC.”

per week under the agreement# AECC0000291.”).

34. Under the Service Contract, OJC agreed that its tender of cargo to HSDG would be “reasonably spaced” throughout the Contract Term.” CX125, ¶ 1. There was no similar requirement on HSDG. *See* CX119-CX135.

RESPONSE: Denied. The Service Contract states that the MVC “shall be reasonably spaced throughout the term hereof” [CX125], and it applied equally to all parties. This interpretation of the agreement was also confirmed by Respondent. [CX153] (“Customer OJ Commerce reported that we are not confirming bookings to their agent Syntrans. Please note that there is a MQC of 10 TEUS per week under the agreement# AECC0000291.”).

35. The parties agreed that any disputes relating to the contract—including disputes relating to the parties’ performance—would be resolved by arbitration. CX123, ¶ 9(b).

RESPONSE: Denied. Although the initial contract had an arbitration clause, Respondent subsequently waived it by not raising it with the Court. CX123.

36. The Service Contract contains a liquidated damages provision that limits both parties’ liability for failing to meet the Minimum Volume Commitment. CX121, ¶ 3(c).

RESPONSE: Denied. The liquidation clause applies only when the MVC is reduced by 10% or more. In this case, it was reduced by less than 10%. ($185/200 = 92.5\%$ that is only a total reduction of 7.5%).

37. The Service Contract does not contain an automatic renewal provision or any other provision requiring the parties to enter service contracts for subsequent contract terms. *See* CX119-135.

RESPONSE: Admitted

38. The parties never amended the Service Contract. RX1133, ¶ 10.

RESPONSE: Denied. On August 3, 2020 Respondent increased the minimum weekly TEU from 8 to 10. [CX156](“There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020”).

E. OJC’s Service Contracts with Other Carriers

39. OJC also had service contracts with other carriers in 2020-21, but OJC refused to produce them in response to Respondents’ discovery requests. RX1120, ¶¶ 6-8. According to Mr. Weiss, these other carriers included: OOCL, COSCO, APL, and Hyundai. RX1010, 79:12-22; 85:13-22; 127:16-21; RX637.

RESPONSE: Admitted.

40. Based on the limited shipping data OJC produced, the other carriers handled [REDACTED] of OJC’s volume in 2020-21; the remaining [REDACTED] was handled by HSDG. *See* Weiss Ex. 101 (containers tab, sorted by ship date).

RESPONSE: Denied. The data provided only contains data from June 1, 2020, not for the entire year of 2020 and 2021. OJC admits that between June 2020 and June 2022, it shipped approximately [REDACTED] of its containers with HSDG and Maersk, using its contract with HSDG, spot rates, as well as other third party shipping accounts.

41. Mr. Weiss testified that the other carriers fully performed under their service contracts in 2020-21. RX1013, 115:2-7.

RESPONSE: Denied. Respondent misstates Mr. Weiss’s testimony, he simply stated that other carriers had “[n]othing that escalated to the level that we couldn’t get responses like with Hamburg.”

F. Impacts of the Pandemic in 2020-21

42. In 2020 and 2021, consumers spent more time at home due to the pandemic, resulting in increased spending on consumer goods. Increased demand for consumer goods led to

increased imports from Asia, where many consumer goods are manufactured. RX988, 151:24-156:3; RX378.

RESPONSE: Admitted.

43. This increase in cargo volume, combined with sanitary measures, social distancing, and a shortage of workers due to illness and/or resignation, resulted in supply chain congestion. Warehouses and distribution centers struggled to handle cargo volume, and a shortage of truck drivers caused delays transporting to inland destinations. RX987, 151:24-156:3.

RESPONSE: Denied. Mr. Pump described that issue as 2 fold, (1) “lack of chassis,” and (2) “demand shock.” None of the other reasons are given in those portions of Mr. Pump’s deposition.

44. As a result, congestion increased at marine terminals. With vessels anchored offshore waiting to unload, carriers were unable to provide the fixed-day, weekly sailings that are characteristic of most shipping services. Less frequent sailings meant lower overall container shipping capacity. RX987-88, 151:24-156:3; RX979, 30:1-32:18; RX343.

RESPONSE: Denied. The report cited to (RX343), found that “certain ocean transportation prices, especially spot prices, are disturbingly high by historical measures,” but does not cite the reasons claimed by Respondent.

45. Ocean carriers were forced to cancel or use blank sailings due to vessels being delayed outside of ports, including the Port of Los Angeles/Long Beach, which at times, had dozens of vessels waiting weeks to berth. RX979, 30:1-32:18.

RESPONSE: Denied. Respondent has refused to provide its internal blank sailing documentation to confirm any of this. *See* CX007, ¶ 54 (“Maersk refused to produce any documents – including all internal and external communications – concerning their

policies, procedures, or plans concerning blank sailings (which are used to manipulate pricing and space)”)

46. As a result of the congestion, scheduling issues, and the unprecedented increases in cargo volume, HSDG had difficulty meeting the needs of its service contract customers, including OJC. RX987-88, 151:24-156:3; RX979, 30:1-32:18.

RESPONSE: Denied. The reason Respondent did not meet OJC’s service contract was due to retaliation. CX220 (“We should not engage in any renewal discussions with customer **in light of the potential litigation. I would also not provide them with space under the existing contract.**”)

G. The Parties’ Performance Under the Service Contract in 2020-21

47. HSDG prioritized its service contract customers—including OJC—over customers on the spot market. RX950, 114:16-116:25.

RESPONSE: Denied. Respondent did not prioritize OJC. CX220 (“we should also consider not to provide them [OJC] with space under existing contract.”); CX213 (“we should also consider not to provide them [OJC] with space under existing contract.”); CX161 (“What can we do to provide at least space for 8-10 TEU per week for this account? **I understand space is limited and other customers are paying a premium for space presently** but any additional profit gained from **those premiums** is going to quickly go out the window if this matter goes to trial.”) (emphasis added).

48. During the Contract Term from June 23, 2020 to May 31, 2021, Ms. Casanova had extensive communications with Mr. Weiss and Naomi Torres at OJC, during which they repeatedly complained and demanded additional space from HSDG. RX1135, ¶ 20.

RESPONSE: Admitted that Mr. Weiss and Ms. Torres had extensive communications with Ms. Casanova. Admitted that demand for additional space was made. Admitted that

demands were made by OJC when Respondent breached the terms of the agreement. Denied the characterization that these extensive communications primarily consisted of complaints and demands.

49. These complaints started less than a month after the parties executed the Service Contract, *see, e.g.*, RX543 (HS-003156) (“We haven’t received a single space in Vietnam. Why have a contract if space is not available?”), and continued—on an almost daily basis—throughout the Contract Term. RX1135, ¶ 21.

RESPONSE: Denied. A mere inquiry about space allocation is not a “complaint.”

50. Although not required under the Service Contract, Ms. Casanova tried to accommodate OJC’s shipping needs on a weekly and monthly basis—as she did for all customers—based on the information she received from Mr. Weiss. RX1134, ¶ 16; RX960, 206:23-207:18; CX208; RX726-35; RX815-21; RX906-10.

RESPONSE: Denied. Respondent did not accommodate OJC’s weekly and monthly needs. See OJ Ex. 101, Tab WeeklyLoss (reflecting a shortfall for the majority of the weekly MQCs)

51. Compared to Ms. Casanova’s other accounts, however, OJC and Mr. Weiss were less understanding of the challenges HSDG and other ocean carriers were facing in 2020-21 due to the pandemic. RX1135-36, ¶ 25.

RESPONSE: Denied. Ms. Casanova did not handle a single Asia account, other than OJC. RX956 183:23-184:12 (“Okay. So, you were handling a total of 80 accounts during April of 2021? ... And how many of those 80 accounts were shipping from Asia to the United States? A: Only OJCommerce ... the other accounts were Latin American account ”)

52. In the fall of 2020, HSDG actually *added* extra “space protection” or “SP” for OJC in an effort to make up for earlier unavailability. CX157. “SP” is an internal allocation that HSDG made for its service contract customers as a way of (i) trying to protect space to meet the customer’s requests for container space; and (ii) trying to stay on track to satisfy the Minimum Volume Commitment by the end of the contract term. RX1134, ¶ 14.

RESPONSE: Denied the characterization of CX157 that it had no “obligation,” to ship 10 TEUs per week. See [CX153] (“Please note that there is a MQC of 10 TEUS per week under the agreement# AECC0000291.”). Denied the characterization of “space protection,” as having a different meaning than MQC. *See Id.*

53. Michael Gast, a member of HSDG’s risk management team, assisted Ms. Casanova in securing additional space protection for OJC. CX 161; CX155-56.

RESPONSE: Denied. Mr. Gast was vehemently advocating not to do any business with OJC. *See* CX229 (“personally I would not want to do business with someone [like OJC] who repeatedly jumps to threat of lawsuit such as this.”)

54. While HSDG sometimes charged a premium in 2020-21 for space provided in excess of a customer’s contractual entitlement, RX989, 171:1-15, OJC was never charged a premium for any additional capacity it received. RX1134, ¶ 17; RX961, 211:2-6.

RESPONSE: Admitted that Respondent sometimes charged a premium. Denied the implication that OJC ever received any additional capacity. To the contrary, Respondent never met its weekly obligations under the contract. *See* OJ Ex. 101, Tab WeeklyLoss (reflecting a shortfall for the majority of the weekly MQCs)

55. In arguing that it was entitled to 8 TEUs or 10 TEUs *per week*, OJC refers—not to the terms of the Service Contract—but to certain emails that reference “SP.” OJC Brief at 38.

OJC misinterprets these emails. The SP that HSDG allocates to its service contract customers is not synonymous with the Minimum Volume Commitment under a service contract. RX950-51; 961, 116:14-117:25; 209:14-210:10; CX208.³

RESPONSE: Denied. Respondent itself confirmed that it has a 10 TEU per week obligation under the contract. *See* CX153 (“Please note that there is a MQC of 10 TEUS per week under the agreement# AECC0000291.”). Respondents also used the term SP, or SPL interchangeably with the term MQC under the contract. CX908 (“we understood everyone in origin was aware of your SPL⁴ (MQC 10 TEUS per week)”))

56. Some of the scheduling issues the parties encountered in 2020-21 were caused by OJC and presumably a result of the pandemic’s effects on OJC and its overseas agents. For example, OJC’s agent in China, Syntrans, contributed to the scheduling issues by repeatedly trying to book space on the wrong HSDG services. RX1135-36, ¶ 25; RX948, 107:8-16; RX815; RX906-10.

RESPONSE: Denied. The emails reference only state that there was an issue using a wrong service code, but no indication that it was causing any delay. Moreover, Respondent itself acknowledges that even if a “customer does not remember the name of our services,” and a mistake is made, “we [Respondent] should be able to confirm and accommodate the bookings.” [RX815].

57. In other cases, OJC’s agents attempted to book cargo when the requested vessel

³ During deposition, OJC’s counsel showed Ms. Casanova a handful of internal HSDG emails in which she sometimes inaccurately referred to SP—the space HSDG allocated internally—as “MVC” or “MQC.” RX943-44, 88:15-91:21; 95:12-96:7; RX 947, 101:2-104:25; RX 949, 112:2-17; RX950-51, 116:14-118:4. While this was a mistake on Ms. Casanova’s part, it did not change the terms of the Service Contract. RX1134, ¶ 18.

⁴ See RX950, 114:16-115:6, that the extra L stands for lease, SP stands for Space Protection, and SPL stands for Space Protection Lease.

was already full. RX906-10.

RESPONSE: Denied. Respondent references to an incorrect booking error code resulting from using an incorrect service account. The error reads:

We sincerely apologize that your booking requests have been rejected or canceled. Unfortunately, our booking representatives are not able to confirm space on services that there is no SP- Space protection under your account when vessel is already full

It is clear that this message was in error, as it indicates the account in question does not have a SP, however, there is no dispute that the OJC account did have a 10 TEU SP.

58. At times, OJC had problems with its warehouse in City of Industry, California—the destination for the cargo HSDG transported under the Service Contract. For example, in February 2021, Mr. Weiss told Ms. Casanova that OJC had “run out of warehouse space in the City of Industry warehouse.” RX1136, ¶ 26; RX749.⁵

RESPONSE: Denied that OJC had “problems.” Respondent is mischaracterizing an email chain whereby OJC requested a quote for shipping a container to Ontario CA.

59. In 2020-21, HSDG substantially complied with its Minimum Volume Commitment for OJC, but was unable to provide all of the space it committed, moving 185 of the 200 FFEs from June 23, 2020 to May 31, 2021. Amended Complaint, ¶ 32.

RESPONSE: Denied that Respondent substantially complied. Respondents had a weekly shortfall almost every week, for a total of 105 containers. See OJ Ex. 101, Tab WeeklyLoss. Admitted that Respondent only moved 185 FFEs.

60. OJC was not the only contract customer impacted by the pandemic in this manner.

⁵ OJC had similar operational challenges in Brazil, RX913, in which Weiss stated “Factories are the ones that put us in this position”), although the Brazil to U.S. trade lanes were not covered by the Service Contract. RX1142, ¶ 59.

RX1135-36, ¶ 25; RX984, 126:21-127:8.

RESPONSE: Admitted.

61. Nevertheless, OJC repeatedly threatened to sue HSDG for breach of contract in connection with our failure to satisfy all its shipping needs. On October 16, 2020 and April 28, 2021, OJC’s counsel served a “NOTICE OF BREACH OF SERVICE AGREEMENT.” CX159-CX160; CX209-CX211.

RESPONSE: Admitted that OJC sent a Notice of Breach on October 16, 2020 and April 28, 2021 for failing to meet its MQC. Denied the characterization of these letters as a “threat,” for failing to satisfy “all its shipping needs.”

62. From time to time, Mr. Weiss also threatened to initiate lawsuits in his emails. *See, e.g.*, RX785 (“Unless I hear back from you by noon today I will turn it over to legal.”); CX213 (“we were advise[d] from customer . . . it will proceed with legal actions against HS”).

RESPONSE: Admitted.

H. Discussions About a Possible 2021-22 Service Contract

63. In 2021, Mr. Weiss and Ms. Casanova had discussions about a possible new service contract for 2021-22. RX1137, ¶ 32. These discussions began in earnest in April 2021. *Id.* Amended Complaint, ¶ 41 (“During April 2021, the parties were engaged in discussions about renewing the parties’ service contract.”).

RESPONSE: Admitted

64. In late April 2021, Mr. Weiss told Ms. Casanova that OJC had shipped 3,500 FFEs in 2020-21. CX203; RX953-54, 171:24-172:3. Ms. Casanova had no way of knowing whether that figure was accurate. RX1137, ¶ 33; RX962, 215:8-216:4.

RESPONSE: Denied. Mr. Weiss said that “OJC had the demand during the 2020-2021 season to move 3500 High Cube (“HC”) FFEs had Maersk provided OJC the space it was

asking for.” [CX468, ¶ 10]. Ms. Casanova misquoted Mr. Weiss.

65. Mr. Weiss also told Ms. Casanova that OJC projected to transport 4,200 to 4,700 FFEs in 2021-22. CX203; RX1137, ¶ 34; RX953, 170:4-7; RX962-63, 216:20-217:13. Ms. Casanova did not know whether that was a reasonable projection because she had no insight into the cargo OJC transported with other carriers in 2020-21. RX1137, ¶ 34.

RESPONSE: Admitted

66. OJC offered a single Excel spreadsheet titled “Container Projections 2021” to support its projected substantial increase in volume in 2021-22 (Weiss Ex. 100), but the projection unreasonable and fundamentally flawed for numerous reasons.

RESPONSE: Admitted that OJC provided the excel spreadsheet. Denies its characterization as flawed. *See* OJC’s Reply.

67. *First*, the projection purports to include actual shipping data for periods including May 2021 suggesting that it was prepared after May 2021. Weiss Ex. 100; RX1165, ¶ 59.a.

RESPONSE: Admitted that it includes actual data until May 2021. Denied that it is flawed.

68. *Second*, Mr. Weiss claims OJC had the demand to have moved 3,500 FFEs in 2020-21, but OJC actually shipped just [REDACTED] FFEs in 2020-21, an [REDACTED] *decrease*. *Compare* Weiss Decl. ¶ 10 *with* Weiss Ex. 101 (containers tab, sorted by shipped date).

RESPONSE: Admitted that OJC had the demand for 3500. Admitted that it shipped much less. Denied that it contains anything flawed. The reason OJC could not meet the demand is because Respondent refused to fill the containers obligated under its contract, and refused to fill the increased demand.

69. *Third*, although the spreadsheet reflects that every Naomi Home product was

“unavailable” at various times [REDACTED], OJC assumes—without explanation—that the lack of “availability” would have been resolved on June 1, 2021 had HSDG entered into a new contract. RX1165, ¶ 59.c.

RESPONSE: Admitted that the spreadsheet reflects “unavailable,” but denies any flaws. Availability depends entirely on the shipment of containers. Containers consist of products. When containers are shipped, OJC has inventory, and the product becomes available, and when containers are not shipped, OJC has no inventory, and the product becomes unavailable.

70. When asked about this at deposition, Mr. Weiss testified, “I’m sure we have the data, but there’s no way for me to tell you this today off of memory.” RX1027, 293:17-22. Again, OJC refused to produce the data.

RESPONSE: Admitted that Mr. Weiss could not remember every single product that was available or not available back in May 2021. Denied the characterization of Mr. Weiss’s testimony. The question presented was “Do you know which products were unavailable for purchase due to a lack of inventory at your fulfillment centers in the US at any point after May 31st of 2021?” To which Mr. Weiss provided that response. The fact that on August 15, 2022, the day of the deposition, Mr. Weiss could not recall of the top of his head the exact status of thousands of products dating back more than a year ago, does not make the Excel spreadsheet projection “flawed.”

71. *Fourth*, the 2021-22 projection is inconsistent with contemporaneous data and communications. In April 2021, OJC acknowledged that there were 40 containers awaiting shipment. CX210. Neither OJC nor Mr. Berning explain how a 40-container backlog in April 2021 correlates to a claimed need for more than 390 containers per month beginning in June 2021.

RX1165-66, ¶ 59.d.

RESPONSE: Denied. The notice of breach letter sent on April 28, 2021, refers to a 40 container backlog, *as a direct result of Respondent's failure to meet its 10 TEU per week commitment*. It does not reflect the total containers shipped during that month. Additionally, "OJC had the demand during the 2020-2021 season to move 3500 High Cube ("HC") FFEs had Maersk provided OJC the space it was asking for." [CX468, ¶ 10]. But since Respondent failed to meet that demand, it did not order from the manufacturer to produce those products. The fact that OJC operated prudently does not make its projections flawed. OJC projected 3500 containers, but only ordered products after it could secure containers to ship them. Otherwise these products would be stuck at the manufacturing facilities. (SCX510-511, ¶ 6.)

72. The data suggests OJC did not have sufficient demand and/or manufacturing capabilities to meet the 4,700 FFE projection on which its damages claims are based, which would explain why OJC's City of Industry warehouse—the warehouse HSDG delivered to under the Service Contract—was at full capacity in February 2021. RX749 (OJC's warehouse at full capacity in February 2021).

RESPONSE: Denied. OJC does not have limitations with its warehouses. Instead, OJC contacts with third-party warehouses for storing its inventory and fulfilling its products. RX1000, 14:15-16:10 ("We don't own any of the warehouses ...[we have fulfillment agreements in] Kentucky, we call FCI. In California, we call WD. I think it stands for Wall Depot. And in Mexico, they're called CRISOSA and GLM"). Additionally, given the fact that OJC utilizes third-party warehouses, it is extremely flexible with its production capabilities. RX 1110, 324:325:1 ("My understanding is, talking to [OJC], that the

company is very flexible as far as where they ship things to and how they manufacture, and that's how they've become successful and able to do what they're doing ... if shipping becomes tough in one spot they can pivot and use a different source ... if OJCommerce would encounter problems with a shipping carrier that cannot ship to Kentucky, they could redirect those containers easily to another destination”).

73. Mr. Weiss also stated that 70% of OJC’s anticipated volume in 2021-22 was on the Asia to Kentucky trade lanes that HSDG had previously declined to handle. CX203; RX1137, ¶ 35; RX963, 217:17-20. He asked HSDG to re-consider that business in 2021-22. RX1137, ¶ 35.

RESPONSE: Admitted that OJC initially requested 70% containers to KY. But denies that Respondent previously declined to handle. *See* CX242 (“We’ll make an offer [To ship to Louisville KY], however if customer accepts this... \$4400 subject to origin charges. BAF/ECA to be broken out and floating.”) Additionally, OJC repeatedly “informed [Respondent] that if Kentucky was again an issue, OJC could ship all [Containers] through California.” [CX175, ¶ 35].

74. On April 27, 2021, Ms. Casanova relayed this information to Ivan Cheung and Kevin Li of the HSDG trade team. RX1137, ¶ 36; CX203.

RESPONSE: Admitted

75. Mr. Li directed Ms. Casanova to ask OJC to provide a specific MVC that OJC would agree to in a service contract for 2021-22 so that HSDG could evaluate its ability to meet that MVC and price the contract. CX224; RX1137-38, ¶ 37.⁶

RESPONSE: Denied. On April 28, 2021, Mr. Li simply asked Ms. Casanova about a

⁶ The MVC in service contracts is typically a fixed number, not a range. RX1137-38, ¶ 37; CX217 (Mr. Li of HSDG stating “We will need a clear [MVC] target to put [OJC] on the target list.”).

clear target, he did not “direct,” her to ask anything from “OJC.” Casanova, clearly already had the target list of 4200-4700 from OJC, as indicated in her email on April 27, 2021. CX226.

76. Despite repeated requests by Ms. Casanova, Mr. Weiss was never willing to commit to a specified MVC for the new service contract.

RESPONSE: Denied. Mr. Weiss committed to at least 4200, and up to 4700 containers. CX226.

77. Mr. Li also instructed Ms. Casanova to decline OJC’s offer to bid on the Asia to Kentucky trade lanes due to the increased inland transportation costs. CX224; RX1138, ¶ 38. On April 28, 2021, Ms. Casanova relayed this to Mr. Weiss. RX1138, ¶ 39; RX812 (“At this time, please consider this commitment for the place of delivery City of Industry CA only.”); RX958, 199:9-16 (“I advised [Mr. Weiss] that we are not able to . . . do a contract . . . in that lane.”).⁷

RESPONSE: Denied. Mr. Li instructed casanova to “maintain focus on local destination only.” [CX224]. He neither instructed, nor mentioned any decline in bid for Kentucky. Denied also that Ms. Casanova relayed such a decline to OJC. There is no mention of any decline to California in her email. RX812.

78. The parties never reached an agreement on the material terms (MVC, trade lanes, and rates, etc.) of a new service contract for 2021-22. RX1138, ¶ 40.

RESPONSE: Denied. CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”).

79. The parties never exchanged a draft contract for 2021-22; there was no

⁷ On October 9, 2020, Mr. Weiss asked if HSDG “would be open to entertain a 6 month (Oct-March) contract for 60 40’ HQ containers monthly” from Asia to Kentucky due to a “spike way above [OJC’s] original projection.” RX803. HSDG again declined to bid for this business due to the increased cost of the interior point intermodal shipments. RX1137, ¶ 33; RX802.

communication between the parties setting forth contract terms; neither party provided a verbal or written offer; and no contract was concluded for 2021-22. RX1138, ¶ 38.

RESPONSE: Admitted that the parties never exchanged a draft, but denied that there was no communication about the essential contract terms. See CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”); CX203 (OJC “plans to move between 4200 to 4700 FFE in 2021. 70% of this volume is to Kentucky and the remaining is to California”); CX220 (“they are proposing a renewal contract ... all rates remain the same from last year contract.”)

80. OJC argues—based on an email Ms. Casanova prepared—that HSDG agreed to a new service contract for 2021-22 with the same rates as the Service Contract for 2020-21. OJC Brief at 24. This is not correct. RX1138, ¶ 41. Mr. Weiss and Ms. Casanova did not discuss new contract rates for 2021-22. RX1138, ¶ 41; RX953, 171:10-12; RX963, 220:7-16.

RESPONSE: Admitted that Casanova prepared a new service contract with the same rates. Denied that it is incorrect. CX220 (“they are proposing a renewal contract ... all rates remain the same from last year contract.”); CX214 (“The new contract contains the same lanes, rates, and conditions of the current contract”)

81. Any rates for 2021-22 would have depended, in large part, on the MVC and trade lanes of any new contract. RX1138, ¶ 42. Considering that 70% of OJC’s projected volume was on Asia to Kentucky trade lanes that HSDG repeatedly declined, it is unclear whether the parties would have ever reached an agreement on rates. RX1138, ¶ 42.

RESPONSE: Denied. Respondents did not repeatedly decline Asia to Kentucky. CX242 (“We’ll make an offer [To ship to Louisville KY], however if customer accepts this... \$4400 subject to origin charges. BAF/ECA to be broken out and floating.”) Additionally,

OJC repeatedly “informed [Respondent] that if Kentucky was again an issue, OJC could ship all [Containers] through California.” [CX175, ¶ 35].

82. Ms. Casanova also never “proposed” a new contract to OJC with the same rates as 2020-21. RX1139, ¶ 43. The April 29, 2021 email that OJC cites, CX214, was an email Ms. Casanova sent internally within HSDG to gauge HSDG’s interest in a contract with OJC in 2021-22, and to determine the new contract rates. RX1139, ¶ 43.

RESPONSE: Denied. CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”); CX220 (“they are proposing a renewal contract ... all rates remain the same from last year contract.”);

83. Because Mr. Weiss had not committed to a specific MVC, Ms. Casanova created a contract template in HSDG’s system with a 400 FFE MVC (double the MVC from 2020-21). RX1139, ¶ 44.

RESPONSE: Denied. Casanova created a temporary “good faith” commitment for the past shortfalls. CX468 (“Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract”). Denied that Mr. Weiss had not committed to a specific MVC. CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”); CX220.

84. She picked this MVC as a way of potentially offsetting the anticipated deficit in 2020-21 and showing an interest in handling more of OJC’s volume. RX1139, ¶ 44; CX222. This template existed only within HSDG’s system; it was not provided to OJC (other than perhaps after-the-fact during discovery in this proceeding). RX1139, ¶ 45.

RESPONSE: Admitted that it was a good faith commitment for past shortfalls. Admitted

that it was not physically shared with OJC. Denied that this was the only agreement contemplated by the parties. CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”); CX468, ¶ 13 (“Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.”).

85. Ms. Casanova did not know whether HSDG had any interest or capability to enter a contract for 2021-22 with a 400 FFE MVC. RX1139, ¶ 46. She was simply asking HSDG’s trade team “*if it is possible* to Increase MQC by 200 FFE giving a total of \$400 FFE.” CX215 (emphasis added).

RESPONSE: Denied. CX468, ¶ 13 (“Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.”); CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”).

86. The contract template contained the same rates as 2020-21 because those were the rates in the system from the prior contract. RX1139, ¶ 45. The trade team was the division within

HSDG that would provide the new rates for any new contract. RX1139, ¶ 45; RX963, 220:17-20.

RESPONSE: Denied. The rates were the same because these were the rates the parties discussed during their negotiations. CX468, ¶ 13 (“Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.”); CX220 (“they are proposing a renewal contract ... all rates remain the same from last year contract.”).

87. Mr. Weiss also claims that Ms. Casanova “agreed to the 4200-4700 container MQC for 2021-2022. . . .” CX468 ¶ 11. This is false. RX1139, ¶ 47. Neither Mr. Weiss nor Ms. Casanova ever exchanged possible MVCs for a 2021-22 contract or reached any agreement on the MVC. RX1139, ¶ 47.

RESPONSE: Denied. CX468, ¶ 11 (“OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022”); CX468, ¶ 13 (“Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.”).

88. Moreover, Ms. Casanova was not in any position to agree to such a substantial

increase of the MVC from 200 FFEs to 4,700 FFEs. RX1139, ¶ 47. That approval would have come from HSDG's trade team. RX1139, ¶ 47.

RESPONSE: Denied. CX468, ¶ 11 ("OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022").

89. After receiving Ms. Casanova's email, Kevin Li sought guidance from Juergen Pump regarding OJC's account. CX220-221.

RESPONSE: Admitted

90. Mr. Li noted that OJC was "threatening us on liquidated damage against the space that we couldn't provide." CX220. The primary focus of these threats was a breach of contract claim, which is precisely what Mr. Li described in his email. CX220. On April 29, 2021, Mr. Pump had no indication that OJC was threatening action before the FMC. Mr. Pump had not seen the threats that OJC's counsel sent HSDG. RX994, 248:24-249:6.

RESPONSE: Admitted that Mr. Li sent the email in CX220. Denied that he made any reference to a breach of contract. Denied that Mr. Pump did not know that OJC threatened action before the FMC. CX099, 231:14-24 ("I went based on what is stated in the e-mail here. Q: And how did you understand that?A: A legal action either **through the FMC** or a lawsuit.")

91. The April 29, 2021 email from Mr. Li to Mr. Pump reflects Mr. Li's mistaken understanding that what Ms. Casanova sent him was a proposal from OJC: "they are proposing a renewal contract with 400 FFE MQC but all rates remain the same from last year contract." CX 220; RX981, 147:9-17.

RESPONSE: Admitted that Mr. Li sent an email to Pump stating "they are proposing a renewal contract with 400 FFE MQC but all rates remain the same from last year contract."

Denied that it was a mistaken understanding. Respondent also mischaracterizes Mr. Li's deposition, nowhere does he say that he had any mistaken understanding about anything in that email. *See also* CX468, ¶ 13 ("Consistent with her internal email, Casanova had informed me after the demand letter (CX 214-215) was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC's shipping volume. Casanova and I reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.").

92. As a result, Mr. Pump was being asked if HSDG should enter a 400 FFE contract with the same rates as 2020-21 with a customer that was threatening litigation. RX991, 226:14-228:25.

RESPONSE: Denied. Mr. Pump was asked the following simple question: "let me know if you still want **to engage** this account with contract renewal," [CX 221].

93. Mr. Pump thought that a proposal for a new 2021-22 with the same rates as 2020-21 was "not a reasonable starting position." RX991, 226:14-228:25. Mr. Pump rejected what he mistakenly understood to be a contract offer from OJC for a 2021-22 service contract with an MQC or 400 FFE with the same trade lanes and the same rates as the 2020-21 Service Contract. RX991, 226:14-228:25.

RESPONSE: Denied. Mr. Pump clearly stated what he thought. "We should not engage in any renewal discussions with customer **in light of the potential litigation.**" CX 220. He didn't say anything about rates being unreasonable.

94. Mr. Li informed Ms. Casanova that HSDG would not enter a service contract with

OJC in 2021-22. RX1140, ¶ 48; CX213.

RESPONSE: Admitted.

95. On May 4, 2021, Ms. Casanova sent Mr. Weiss an email informing him of HSDG's decision. RX1140, ¶ 50. She stated that HSDG would not enter a contract for 2021-22 due to "the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing." RX812.

RESPONSE: Admitted that she sent the email RX812 to Mr. Weiss. Denied that she was telling the truth, as she did not mention "the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation." CX213.

96. Although HSDG could not offer OJC a service contract for 2021-22, HSDG offered to continue transporting for OJC on a case-by-case basis using the space available for all customers pursuant to its common carriage responsibilities. RX812; RX964, 221:4-10.

RESPONSE: Denied. Respondent simply stated that "we can work case by case." Respondent did not say anything about "space available," nor mentioned any "carriage responsibilities."

97. After the Service Contract ended on May 31, 2021, HSDG did in fact continue to transport cargo for OJC from Asia to California; OJC's own shipping data proves this. Weiss Ex. 101 (containers tab). Thus, Mr. Pump's suggestion that HSDG decline to provide space under the Service Contract was not adopted by HSDG in any event. RX726-28.

RESPONSE: Admitted that some cargo was transported from Asia to California after May 31, 2021. Denied that Mr. Pump's suggestion was not adopted. All of the containers shipped after May 31, 2021, were either already scheduled prior to May 31, 2021, *See* OJ Ex. 101, Sheet Containers, Line No. 545-56 (Waybill No. GCXU5721300,

MRKU3142506, TLLU6852525, MSKU1597679, GCXU5705892, PONU7957303, TRHU8489601, MSKU1228177, BMOU4268879, SUDU6976489, TRHU8490330, TRHU8491759 shipped between June 1-2 2021), or scheduled using third party freight forwarder by the name United Shipper, SCX509-512, ¶¶ 3, 8, not under the Service Contract. *See* Id. Line No. 604-15 (Waybill No. PONU8192970, MRSU4412656, MRKU2110459, TCNU1723611 , MRKU3290268, MSKU1358340, MRKU3249330, BMOU4179935, MSKU1977318, MRKU3160921, MRSU4533874, BEAU6346410 shipped Jan 23-27, 2022 at much higher rates)

98. Ms. Casanova was not upset about losing the OJC account: “I was – it is not that I was upset, but I was understanding the situation . . . if we cannot perform service to a customer, it is better to be honest and tell the customer the truth before committing to something that we might not be able to perform and fulfill for another period.” RX1140-41, ¶ 53 (AC); RX959, 201:12-17.

RESPONSE: Denied. Casanova said that “it is better to be honest and tell the customer the truth,” but she did not do that. On April 29, 2021 PM, she received the following email from Mr. Li:

Hi Andrea,
As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. **I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation.** Please disengage on renewal negotiation with this account, thanks.
[CX213].

A few days later, she fabricates the following excuse to OJC:

Hello Jacob,
As per our conversation, we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing.
[CX812].

This is a far cry from “be[ing] honest and tell[ing] the customer the truth.” She also lied in her deposition about the reason given by Mr. Li for not renewing the contract. See RX956 (“Q: And what was the reason they [either Ivan Chang or Kevin Li] gave you? A: The reasons were primarily because the situation in Asia. The market situation in Asia, the lack of the space we were having and that is what some of the reason”) *Compare* with CX213 (no mention about “situation in asia” or “lack of space,” anywhere in that entire email. The only reason given was “in light of potential litigation”).

99. After HSDG declined to enter a new contract for 2021-22, Ms. Casanova continued to work with the HSDG team to find available space for OJC in the hopes that HSDG could meet the MVC of 200 FFE by the end of the contract term on May 31, 2021. RX1141, ¶ 55. Based on her communications, Ms. Casanova was initially optimistic that HSDG would meet the MVC. RX1141, ¶ 55; RX755 (“That is great news and our effort to fulfill the contract. I have shared this information with the customer.”).

RESPONSE: Denied. These containers were already confirmed prior to the retaliation. RX755 (“This is already confirmed”). Additionally, Mr. Pump, Respondent’s executive decision maker, explicitly instructed his team to “not provide them [OJC] with space under the existing contract.” XC220.

100. Ultimately, however, HSDG ended up missing the MVC by 15 FFEs. Amended Complaint, ¶ 32; RX1141, ¶ 56.

RESPONSE: Admitted.

I. HSDG’s Decision Not to Enter a 2021-22 Contract was Reasonable

101. HSDG’s decision not to enter a new service contract with OJC in 2021-22 was based on several factors and was reasonable.

RESPONSE: Denied. The decision was purely based on retaliation, and not any

reasonable excuse. XC220 (“We should not engage in any renewal discussions with customer in light of the potential litigation.”)

102. *First*, the pandemic continued to cause supply chain congestion—especially at U.S. West Coast ports—resulting in less frequent sailings and decreased shipping capacity. RX987-88, 151:24-156:3; RX348. This was the reason Ms. Casanova included in her email to Mr. Weiss. RX812.

RESPONSE: Denied. The report cited to was referring to “the fourth quarter of 2020,” not May of 2021, when the retaliation occurred. RX348. Additionally, the report states the exact opposite, that “container lines were operating at nearly full capacity,” that is the exact opposite of Respondent's assertion that it resulted in “less frequent sailings and decreased shipping capacity.” RX348. Mr. Pump made a decision to retaliate for one reason only, “in light of the potential litigation.” XC220. Ms. Casanova in her email was not telling the truth. *Compare* CX812 (“we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing.”) *with* CX213 (“Hi Andrea, As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.”)

103. *Second*, HSDG was understandably hesitant to enter a new contract in 2021-22—*with a MVC 2,250% more than 2020-21*—particularly after OJC repeatedly threatened to sue in 2020-21, and HSDG missed the MVC by just 15 FFEs.

RESPONSE: Denied. The higher the MVC, the more attractive the contract was for the

Respondent. CX242 (“I can look into cross dock options. Especially for this kind of volume, I would have love to take a look before we declined 2500TEU”); CX215 (“This [OJC] is not a short term account and the customer has been constant in his volumes and is willing to commit to much more of the current MQC”). Respondent was also aware that a large increase is reasonable due to the pandemic. CX243 (“The customer has offered their overflow volume that is expected to be 300x40'hc for the rest of the year and possibly more, since the online furniture retailer business has increased due to the pandemic.”); XC244 (“According to the customer, online furniture purchases in the USA increased by more than 200% due to Covid-19 measures and OJ Commerce grew nearly 400% in sales compared to the initial year's forecast and the trend is estimated to continue. Due to the above, they trust that they have and will have volume to meet the amount committed to each carrier.”). Admitted that Respondent did not want to enter into a new contract because OJC threatened FMC actions.

104. As Ms. Casanova explained: “if we cannot perform service to a customer, it is better to be honest and tell the customer the truth before committing to something that we might not be able to perform and fulfill for another period.” RX959, 201:12-17.

RESPONSE: Denied. Casanova said that “it is better to be honest and tell the customer the truth,” but she did not do that. On April 29, 2021 PM, she received the following email from Mr. Li:

Hi Andrea,
As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. **I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation.** Please disengage on renewal negotiation with this account, thanks.
[CX213].

A few days later, she fabricates the following excuse to OJC:

Hello Jacob,

As per our conversation, we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing.
[CX812].

This is a far cry from “be[ing] honest and tell[ing] the customer the truth.” She also lied in her deposition about the reason given by Mr. Li for not renewing the contract. See RX956 (“Q: And what was the reason they [either Ivan Chang or Kevin Li] gave you? A: The reasons were primarily because the situation in Asia. The market situation in Asia, the lack of the space we were having and that is what some of the reason”) *Compare* with CX213 (no mention about “situation in asia” or “lack of space,” anywhere in that entire email. The only reason given was “in light of potential litigation”).

105. *Third*, OJC apparently wanted the same rates. OJC Brief at 39 (“The expected contract rates used for this analysis were those contained in the Contract...”). This was unreasonable given that rates had increased in 2021-22 due to the imbalance of supply and demand. CX432; OJC Brief at 41-46.⁸

RESPONSE: Admitted that the parties discussed the same rates. Denied that it was unreasonable. Respondent’s own representative, Ms. Casanova, found it “reasonable,” to generate a new contract containing the same “rates,” as the 2020 contract. XC214 (“I created the new SVC NOAC1000728 Effective June 1, 2021, until May 31, 2022. The new contract contains the same lanes, rates, and conditions of the current contract

⁸ OJC’s expert, Richard Berning concedes that rates in 2021-22 were substantially higher than rates in 2020-21 due to the imbalance of supply and demand. CX432 (“

”)

AECC0000291”).

106. Mr. Weiss cites no support for his claim that “spot market rates went through the roof” only after “the Parties’ contract negotiations.” CX468 ¶ 12. Spot rates were increasing by as early as June 2020, almost a full year earlier than Mr. Weiss claims. RX326-27 (June 12, 2020 article from the Journal of Commerce reporting that spot rates were increasing at that point in time).

RESPONSE: Denied. The article cited reflects that sport rates from Shanghai to US West Coast went to \$2,755 per FEU. That is nothing in comparison to the price it jumped after May 2021. The charts from Xeneta and Drewry reflect that in June 2021, the average spot rate was above \$10,000, that is more than 4 times the rate in June 2020. *See* OJ Ex. 101 SpotRate Damages Sheet.

107. Spot rates increased substantially by early 2021, and that a request for a 2021-22 contract at 2020-21 rates would be completely detached for the realities of the market. RX991-93, 228:5-6; 235:11-20; RX377; CX435 (Mr. Berning’s rate trends chart); RX1163, ¶ 53.

RESPONSE: Denied. The article cited reflects that rates were “\$1,500 in the first week of May 2020,” and went up to “\$11,109 in September 2021.” It does not discuss what the rates were in April/May 2021, the time the parties negotiated their renewal. RX377. Similarly, the container freight rate trend chart does not reflect “sky high” increase in Q1-Q2 of 2021. It reflects that the rates increased from \$1,909-\$1,967 in 2020, to \$2,192 in Q1 of 2021. That’s about a 10% increase. In comparison, in Q4 of 2021 or Q1 2022, the prices went up to over \$4,000 per container. That is more than 100% increase. CX435. Additionally, on April 29, 2021, Respondent’s own representative, Ms. Casanova, found it “reasonable,” to generate a new contract containing the same “rates,” as the 2020 contract.

XC214 (“I created the new SVC NOAC1000728 Effective June 1, 2021, until May 31, 2022. The new contract contains the same lanes, rates, and conditions of the current contract AECC0000291”).

108. *Fourth*, 70% of OJC’s shipping needs were on Asia to Kentucky trade lanes, which HSDG was reducing for all customers due to increased costs. CX203; CX248.

RESPONSE: Denied. Respondent did not decline the Kentucky lane, in fact, they actually offered a contract. *See* CX242 (“We’ll make an offer [To ship to Louisville KY], however if customer accepts this... \$4400 subject to origin charges. BAF/ECA to be broken out and floating.”) Additionally, OJC repeatedly “informed [Respondent] that if Kentucky was again an issue, OJC could ship all [Containers] through California.” [CX175, ¶ 35].

109. *Fifth*, OJC’s disputatious manner of doing business—with daily demands for additional space—contributed to the decision. RX1135, ¶ 21; RX1140 ¶ 50. OJC repeated threats to sue HSDG for breach of contract played a role in the decision. RX1136, ¶ 28; CX213.

RESPONSE: Denied that OJC had a “disputatious” manner of doing business, to the contrary, OJC was a consistent customer that was valued to Respondent. *See* XC215 (“This [OJC] is not a short term account and the customer has been constant in his volumes and is willing to commit to much more of the current MQC”). OJC was flexible to resolve any dispute. *Id.* (“I have spoken with the customer and he has stated that he does not want to end the relationship with us and just look for the fair that we promised. He is open to any solution that can offset this deficit.”) Admitted that OJC’s threat to report to the FMC was the reason for refusing to renew the contract.

110. OJC’s threats to sue HSDG for breach of contract—even before the end of the

contract term—were not surprising given the litigious nature of the company; OJC has filed at least 17 lawsuits in the past few years. *See* RX1120, ¶ 5.

RESPONSE: Denied. OJC demanded Respondent abide by its contract terms. XC159 (“I hereby demand that HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities.”); CX210 (“I hereby demand that HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities.”) Other unrelated lawsuits filed by OJ Commerce bear no relevance to Respondent’s unlawful conduct.

111. OJC was not the only customer for whom HSDG declined to enter a service contract with in 2021-22. RX1141, ¶ 54. Due in large part to the issues caused by the pandemic, Ms. Casanova estimated that HSDG declined to enter new service contracts with approximately [REDACTED] of the customer accounts that she handled. RX1141, ¶ 54; RX957, 188:19-25.

RESPONSE: Denied. Ms. Casanova contradicted herself in her own deposition. Initially she testified “Yes, We renew[ed all other contracts]” except those “that did not want to.” RX956, 185:9-186:19. Later, she changed her testimony, that “[Respondent’s trade team] did not allow us to enter,” into any contract that shipped to “California.” RX958, 197:3:25. While Respondent keeps using Kentucky as an excuse, Ms. Casanova directly contradicts Respondent’s position, and claims that California was the excuse.

J. Respondents Continued to Transport Cargo After OJC Threatened Litigation

112. After receiving OJC’s October 19, 2021 and April 28, 2021 threats to sue for breach of contract, HSDG and Maersk continued to transport cargo for OJC. *See* Weiss Ex. 101 (containers tab).

RESPONSE: Admitted.

113. From April 28, 2021 (the date of OJC’s second threat to sue) to May 31, 2021 (the

end of the Service Contract), HSDG and Maersk transported **20 FFEs** for OJC (or **11%** of the total volume HSDG shipped for OJC in 2020-21). HSDG transported another **13 FFEs** the week immediately after the Service Contract ended. In total HSDG and Maersk transported **33 FFEs** from April 28, 2021 to June 6, 2021:

2	id	po_number	waybill	received	origin	destination	shipdate	shipper	shipped
525	5186582	8868140507	PONU7338720	6/7/2021	Brazil	Louisville		lamburg Sud	5/1/2021
526	5233050	8804116078	MSKU0595352	6/16/2021	Brazil	Louisville		lamburg Sud	5/2/2021
527	5135865	8873347470	MSKU8403163	7/13/2021	Brazil	LA/LB		lamburg Sud	5/4/2021
528	5186572	8820986398	MRKU5379400	6/16/2021	Fuzhou	Louisville		Maersk	5/6/2021
529	5186568	8858892989	MRKU3484031	6/22/2021	Yantian	LA/LB		lamburg Sud	5/6/2021
530	4751505	8892778580	TCNU1120496	6/25/2021	Yantian	LA/LB		lamburg Sud	5/6/2021
531	5135866	8848454094	MRKU5425172	9/14/2021	Brazil	Louisville		lamburg Sud	5/8/2021
532	5135863	8841863295	MSKU1070456	6/15/2021	Brazil	Louisville		lamburg Sud	5/8/2021
533	5186567	8804071237	HASU4880662	6/15/2021	Yantian	LA/LB		lamburg Sud	5/10/2021
534	4702902	8827447345	MRSU3487706	6/10/2021	Yantian	LA/LB		lamburg Sud	5/10/2021
535	4702900	8835977640	MRKU4164201	7/1/2021	Yantian	Louisville		Maersk	5/13/2021
536	4702903	8862657671	MSKU1975845	7/1/2021	Yantian	Louisville		Maersk	5/13/2021
537	4862459	8877560152	SUDU8646980	7/14/2021	Ho Chi Minh	LA/LB		lamburg Sud	5/14/2021
538	4618351	8892360470	MSKU8436260	6/22/2021	Xiamen	LA/LB		lamburg Sud	5/15/2021
539	4750048	8856697514	MRKU6191696	6/10/2021	Xiamen	LA/LB		lamburg Sud	5/15/2021
540	5135861	8807190155	MRSU3824366	9/14/2021	Brazil	Louisville		lamburg Sud	5/16/2021
541	5233052	8870241086	TGHU7917494	6/21/2021	Brazil	Louisville		lamburg Sud	5/20/2021
542	4676550	8805260758	TRLU8271006	7/28/2021	Ho Chi Minh	LA/LB		lamburg Sud	5/20/2021
543	5186549	8853206452	MRSU3009116	6/25/2021	Brazil	Louisville		lamburg Sud	5/22/2021
544	5093093	8847658835	MRSU3300327	7/19/2021	Shanghai	LA/LB		lamburg Sud	5/31/2021
545	4990763	8859766432	GCKU5721300	7/20/2021	Yantian	LA/LB		lamburg Sud	6/1/2021
546	4990762	8863146434	MRKU3142506	7/20/2021	Yantian	LA/LB		lamburg Sud	6/1/2021
547	5294619	8877253240	TLLU6852525	7/13/2021	Yantian	LA/LB		lamburg Sud	6/1/2021
548	4990764	8822958155	MSKU1597679	7/19/2021	Yantian	LA/LB		lamburg Sud	6/1/2021
549	5294622	8850148293	GCKU5705892	7/13/2021	Yantian	LA/LB		lamburg Sud	6/1/2021
550	5341390	8803522173	PONU7957303	8/6/2021	Ho Chi Minh	LA/LB		lamburg Sud	6/2/2021
551	4751519	8837954598	TRHU8489601	7/14/2021	Yantian	LA/LB		lamburg Sud	6/2/2021
552	4815669	8825174683	MSKU1228177	7/14/2021	Yantian	LA/LB		lamburg Sud	6/2/2021
553	4815647	8800272092	BMOU4268879	7/19/2021	Shanghai	LA/LB		lamburg Sud	6/2/2021
554	4844516	8805570562	SUDU6976489	7/16/2021	Shanghai	LA/LB		lamburg Sud	6/2/2021
555	5186536	8864657741	TRHU8490330	7/13/2021	Ningbo	LA/LB		lamburg Sud	6/2/2021
556	5186535	8819495957	TRHU8491759	7/14/2021	Ningbo	LA/LB		lamburg Sud	6/2/2021
557	5233051	8848267457	MSKU8709467	7/16/2021	Brazil	Louisville		lamburg Sud	6/6/2021

Weiss Ex. 101 (containers tab, sorted by shipper and shipped date).

RESPONSE: Admitted.

114. In other words, OJC's own data proves that HSDG continued to transport for OJC (i) *after* receiving OJC's October 16, 2020 and April 28, 2021 litigation threats; (ii) *after* Ms. Casanova told Mr. Weiss on May 4, 2021 that HSDG would not enter a contract for 2021-22; and (iii) *after* the Service Contract ended on May 31, 2021. *Id.*

RESPONSE: Admitted.

115. HSDG and Maersk continued to transport significant amounts of OJC's cargo throughout 2021 and 2022. Indeed, based on the limited information OJC produced, of the [REDACTED]

FFEs that OJC shipped from June 1, 2021 to July 16, 2022 (the last date for which OJC provided data), HSDG and Maersk accounted for [REDACTED] or [REDACTED] of OJC's total shipments. *Id.*

RESPONSE: Admitted

116. In total, HSDG and Maersk transported **66 FFEs** *after* OJC threatened litigation on April 28, 2021. Weiss Ex. 101 (containers tab, sorted by shipper and shipped date).

RESPONSE: Admitted.

117. OJC refused to produce bills of lading or other documentation of the shipments in Mr. Weiss' Excel spreadsheet (OJC Ex. 101). RX1121, ¶¶ 12-13.

RESPONSE: Denied. OJC produced everything in its possession related to the shipments, including all electronic data in its database. See OJC Ex. 101, Tabs titled Containers and Container Content.

118. Respondents produced bills of lading for every container HSDG and Maersk transported for OJC after the Service Contract ended on May 31, 2021. RX1-324.

RESPONSE: Admitted.

119. These bills of lading show that HSDG and Maersk actually shipped **50 FFEs** for OJC after May 31, 2021, **4 FFEs** more than the unsupported figures on OJC's spreadsheet. *Compare* RX1-324 (bills of lading) *with* Weiss Ex. 101 (containers tab).

RESPONSE: Denied. OJC Ex. 101 accurately reflects all containers shipped and received, in September 2022, when the spreadsheet was created.

120. The specific container shipments that OJC omitted from its Excel spreadsheet (Weiss Ex. 101) are:

Waybill	Bates for BOL	Date Shipped
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MSKU0474140	HS015154	2/17/2022
MRKU5067401	HS015163	2/10/2022
TCNU3195051	HS015181	4/23/2022
MRSU4708777	HS014661	6/7/2021

RX225; RX234; RX252; RX35.

RESPONSE: Denied. Waybill No. MSKU0474140, MRKU5067401 and TCNU3195051 were shipped by MADEIRAS EULIDE LTDA, and delivered to PRIMEWAY USA LLC, in CORAL SPRINGS, FL. See RX225-6; RX234-5; RX252-3. OJC has no record of such a shipment, nor is that company in any way affiliated with OJC, nor Does OJC have any warehouse in Coral Springs FL. Waybill No. MRSU4708777, OJC's accounting system does not reflect that it was received during the relevant time period.

121. Moreover, after OJC threatened litigation, HSDG provided short-term rates to OJC for cargo moving from Asia to the U.S., RX603, and from Brazil to the U.S. *See, e.g.*, RX768-74 (quotation valid from March 3, 2021 to April 30, 2021) RX673-78 (quotation valid May 1, 2021 to June 31, 2021); RX596-601 (quotation valid July 1, 2021 to Sept. 30, 2021); RX741-45 (quotation valid Oct. 28, 2021 to Dec. 31, 2021).

RESPONSE: Admitted that Respondent provided short-term quotes that were based on the spot-market rates.

122. Ms. Casanova and Mr. Weiss communicated about the Brazil to U.S. trade lanes throughout 2021 and 2022. RX1141 ¶¶ 57-58; *see also* RX529-37; RX593-95; RX661-72; RX737-40; RX764-67. Moreover, OJC's own data establishes that HSDG and Maersk transported

30 FFEs for OJC on the Brazil to U.S. trade lanes in 2021-22:

Weiss Ex. 101 (containers tab).

RESPONSE: Admitted that Respondent provided short-term quotes that were based on

2	id	po number	waybill	received	origin	destination	shipper	shipper	shipped
525	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
526	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
527	2105000	000000000	MSK0000000	8/2/2021	Brazil	LA/LB	Hamburg Süd		8/2/2021
528	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
529	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
530	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
531	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
532	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
533	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
534	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
535	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
536	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
537	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
538	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
539	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
540	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
541	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
542	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
543	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
544	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
545	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
546	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
547	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
548	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
549	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
550	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
551	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
552	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
553	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
554	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
555	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
556	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
557	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
558	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
559	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
560	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
561	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
562	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
563	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
564	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
565	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
566	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
567	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
568	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
569	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
570	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
571	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
572	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
573	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
574	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
575	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
576	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
577	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
578	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
579	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
580	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
581	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
582	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
583	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
584	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
585	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
586	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
587	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
588	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
589	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
590	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
591	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
592	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
593	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
594	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
595	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
596	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
597	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
598	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
599	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021
600	2105000	000000000	MSK0000000	8/2/2021	Brazil	Louisville	Hamburg Süd		8/2/2021

the spot-market rates.

123. While HSDG did transport cargo for OJC from Brazil to the U.S., those trade lanes were not part of the Service Contract at issue in these proceedings. RX1142, ¶ 59; CX119-CX135.

RESPONSE: Denied. The new agreement also contemplated trade lanes from Brazil. See OJC Ex 101, Sheet SpotRate Damages, Line Nos. 7, 9, 17, 19, 25, 26.

124. Rather, HSDG transported OJC's cargo from Brazil to the U.S. on a case-by-case basis through rate quotations that were typically valid only for 60-days. RX1142, ¶ 62.

RESPONSE: Denied. CX467, ¶ 5 ("The Parties had a separate contract with shipping lanes from Brazil to North America East Coast and North America West Coast."); CX468, ¶ 15 ("OJC had an additional contract with Maersk for shipments from Brazil.")

125. The document that OJC claims is a separate service contract for Brazil to U.S. is

actually one of the rate quotation HSDG gave OJC that was valid from March 3, 2021 to April 30, 2021. CX425; RX1142, ¶ 60; RX965, 227:11-19.

RESPONSE: Denied that Agreement No. NOAQ1006436 (CX136), is not a contract. Admitted that Agreement No. NOAQ1006436 was valid between March 3, 2021 and April 30, 2021.

126. Mr. Weiss knew there was no separate service contract for the Brazil to U.S. trade lanes. RX1142, ¶ 61. On September 24, 2021, he asked Ms. Casanova whether HSDG “could offer any contracts from Brazil ports for the coming months.” RX805. She responded: “Unfortunately, we continue with lack of space that does not allow us to commit with new contract.” RX805.

RESPONSE: Denied. CX467, ¶ 5 (“The Parties had a separate contract with shipping lanes from Brazil to North America East Coast and North America West Coast.”); CX468, ¶ 15 (“OJC had an additional contract with Maersk for shipments from Brazil.”). Admitted that the described conversation between Mr. Weiss and Ms. Casanova took place.

127. Nevertheless, HSDG continued to make space available to OJC on a case-by-case basis pursuant to the rate quotations, and OJC continued to transport cargo with HSDG. RX1142, ¶ 62.

RESPONSE: Admitted that Respondent shipped certain containers using spot-market-rates.

K. Mr. Weiss’ Decision Not to Negotiate with Other Carriers

128. In early 2021, Mr. Weiss decided not to renew OJC’s service contracts with the other carriers it had been using in 2020-2021—carriers who met their MVCs—or enter transportation arrangements with other providers. *See* RX1010-11, 81:11-82:16.

RESPONSE: Admitted that Mr. Weiss did not renew contracts with other carriers, because he wanted to “consolidate all its imports with Maersk.” CX467, ¶ 8.

129. OJC declined offers from OOCL and COSCO to enter service contracts for 2021-22. RX1010, 81:14-18; RX1011, 82:10-16.

RESPONSE: Admitted that Mr. Weiss did not renew contracts with other carriers, because he wanted to “consolidate all its imports with Maersk.” CX467, ¶ 8.

130. Mr. Weiss decided instead to seek a *single* service contract with a *single* carrier for 2021-22. RX1010-11, 81:11-82:16.

RESPONSE: Admitted.

131. The carrier he chose, HSDG, was the *only* carrier that failed to meet its MVC for OJC in 2020-21 and the *only* carrier OJC repeatedly threatened to sue. RX1013, 115:2-7.

RESPONSE: Admitted that OJC only sought a contract with Respondent. Otherwise, Denied. Respondent misstates Mr. Weiss’s testimony, he simply stated that other carriers had “[n]othing that escalated to the level that we couldn't get responses like with Hamburg.”

132. Mr. Weiss made the decision to break off negotiations with other carriers before he had even started to negotiate with HSDG. *See* RX1010-1011, 81:11-82:11 (OOCL contract ended March 2021; COSCO contract ended “month or two” before HSDG contract); Amended Complaint ¶ 32 (negotiations with HSDG started in April 2021).).

RESPONSE: Denied. Respondent is misstating Mr. Weiss’s testimony, there is no mention of breaking off any negotiations with any other carrier. Mr. Weiss explained that “OJ Commerce was at that point negotiating with Hamburg, and Hamburg was asking for a much bigger contract. And so OJ Commerce was trying to consolidate.” RX1011, 82:12-

15.

133. During his deposition, Mr. Weiss initially tried to blame Ms. Casanova for his decision stating “Hamburg Sud asked OJ Commerce to not renew with other carriers and give it a much bigger portion of our business in terms of the next contract.” RX1018, 134:1-4. When pressed, however, Mr. Weiss conceded that HSDG did not tell him not to renew OJC’s contracts with other carriers: “I didn’t say Hamburg specifically told me not to renew your OOCL contract. Hamburg said we want a bigger part of your business” RX1018, 135:23-136:1.

RESPONSE: Admitted that Respondent asked for all of OJC’s container business. Denied the mischaracterization of Mr. Weiss’s testimony. Mr. Weiss clarified that “Hamburg SUD [request from] OJ Commerce not to renew with other carrier[s],” was “indirectly,” namely, that “Hamburg [didn’t] specifically t[ell] me don’t renew your OOCL contract” by name, instead, Hamburg said “whatever you move with other carriers, please give it to us.” Respondent’s allusion that when “pressed,” Mr. Weiss somehow changed his testimony, is disingenuous and misleading.

134. OJC refused to produce (or did not have) any documentation showing it made any effort to secure space or transport cargo with any other carrier, NVOCC or forwarder. RX1086, 244:19-248:23; RX1120, ¶ 6.

RESPONSE: Denied. OJC provided a detailed list of all the successful efforts to transport cargo, and mitigate the damages after Respondent’s retaliation. See OJ Ex. 101, Tab Containers, Starting at Line No. 558.

135. Mr. Weiss conceded that it was “a big mistake to put all my eggs in one basket.” RX1024, 229:12-15. He added: “it made absolutely no sense what I did.” RX1026, 245:19.

RESPONSE: Denied. It was perfectly reasonable for OJC to expect Respondent to abide

by its promise, and refrain from violating the Shipping Act by retaliating against OJC. Respondent is misstating Mr. Weiss's testimony, he was referring that "in hindsight," after he discovered that Respondent flaunts the law, and completely disregards the Shipping Act, he "was really fooled and got drawn into a terrible situation; but at the time it made perfect sense." RX1026, 245:18:21.

L. OJC's Damages Expert

136. After the August 5, 2022 deadline for expert reports (Dkt. 31), OJC served two expert reports from Richard C. Berning, one on September 2, 2022, and a second, supplemental report on October 17, 2022. CX415, 460.

RESPONSE: Admitted that OJC sent its expert report on Sep. 2, 2022. But denied that it was after the deadline. Respondent sent its expert report on, and OJC served its expert report to rebut Respondent's expert on September 2, 2022, the day the rebuttal expert report was due. CX300.

137. Mr. Berning was not retained until August 24, 2022—*19 days after* the deadline for initial expert reports, RX930-35, and after OJC provided its damage calculations. Rohde Ex. 1.

RESPONSE: Admitted that Mr. Berning was retained in August 2022, but denied that it was after the deadline for serving its report. See Response to No. 136.

138. Mr. Berning has no prior experience with damages arising from alleged violations of the Shipping Act. RX1045, 64:13-17.

RESPONSE: Denied. Mr. Berning recalled doing at least one similar case. RX1045, 65:23-25 ("we have done some trucking company work. They kind of deal with similar terms, similar concepts."). Additionally, Mr. Berning has extensive experience with

estimating damages, and they all involve “the same concept,” RX1046, 69:18-19. This comes from an expert with the following credentials:

I have been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. I have been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. I am a frequent speaker locally and nationally on business valuation, damages and related topics, having developed and/or taught more than 170 courses to various professional and business organizations.

CX438.

139. He has no prior experience with any cases involving allegations that a party breached a MVC in a service contract within the shipping industry or any other segment of the transportation sector. RX1045, 65:10-25.

RESPONSE: Denied. During his deposition, Mr. Berning testified at least one other similar case. RX1045, 65:23-25 (“we have done some trucking company work. They kind of deal with similar terms, similar concepts.”)

140. He has never analyzed damages for retaliation or refusal to deal. RX1045, 63:22-65:16 (RB).

RESPONSE: Denied. See Response to No. 138.

141. Mr. Berning stated that his greatest “core competency” is business valuation, and he has been retained in over 1,000 divorce cases, primarily in valuing the business assets of a separating married couple. RX1046; 66:13-15.

RESPONSE: Admitted that Mr. Berning has done over 1,000 divorce cases, but in addition, he has also done the following:

I have been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. I have been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. I am a frequent speaker locally and nationally on business valuation, damages and related

topics, having developed and/or taught more than 170 courses to various professional and business organizations.

CX438. Mr. Berning also has (i) as one of his four “core competencies” “litigation economic/loss damage analysis and independent opinions,” (RX1044, 61:3-9) (ii) testified over a 150 times on damage- and valuation-related issues, (RX1045-6, 65:17 - 67:7) and (iii) never had his opinions excluded by a court in well over 1,000 cases (RX1045-6, 65:17 - 67:7).

142. Mr. Berning failed to verify OJC’s data and calculations using source documents that would have been readily available had he requested them. *See infra*.

RESPONSE: Denied. *See infra*. Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not “rubber stamp” OJC’s prior figures but in fact “came up with [his] own opinion,” (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (*See, e.g.*, RX 1041, 47:3 – 48:2.)

143. Mr. Berning did not do anything to verify Mr. Weiss’ calculation of “Average Gross Revenue Per Container” in 2020-21 of [REDACTED]. RX1033, 16:11-17:4.⁹

RESPONSE: Denied. There is no mention in his testimony that he did not do anything to verify the Average Gross Revenue Per Container. To the contrary, he testified that “we saw some sort of schedule showing the company shipments during the revenues that were generated per container.”. Additionally, Mr. Berning testified that “we saw listings of the containers or of revenues per containers and how that [REDACTED] was computed.” RX1033, 16:15-17. Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not “rubber stamp” OJC’s prior figures but in fact “came up with [his] own

⁹ An earlier spreadsheet Mr. Weiss prepared stated that the “Average Gross Revenue Per Container” was [REDACTED]. Rohde Ex. 1.

opinion,” (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (See, e.g., RX 1041, 47:3 – 48:2.)

144. Mr. Berning did not do anything to verify Mr. Weiss’ calculation of “Average Gross Profit Per Container” in 2020-21 of [REDACTED]. RX1033-34, 17:5-18:15.¹⁰

RESPONSE: Denied. There is no mention in his testimony that he did not do anything to verify the Average Gross Revenue Per Container. To the contrary, he testified that “we saw some sort of schedule showing the company shipments during the revenues that were generated per container.” Additionally, during cross examination, Mr. Berning went through in great detail to explain precisely how he evaluated the [REDACTED] figure. RX1106-7, 309:11-311:17 (“And what is the formula Excel is using to get that number, [REDACTED]? ... the container tab, column J is the profits per container ... column N of the container content tab, and column M is the container 2 ID, so it's matching up the container ID from the container content tab ... we were able to follow to see where that number came from, specifically. It just followed back into the formulas from the raw data”); see Response to No. 142.

145. OJC refused to produce—and Mr. Berning did not review—the shipping records, sales records, financial statements and other documentation from which Mr. Weiss’ gross revenue and gross profit calculations might be verified. RX1033-34, 16:11-17:4, 17:5-18:15; 208:10-209:20 (RB); RX1121, ¶ 12.¹¹

¹⁰ On January 25, 2022, OJC claimed its “Average Gross Profit Per Container” was [REDACTED]. RX408-09 (OJC’s Initial Disclosures dated Jan. 25, 2022). On July 14, 2022, the calculation decreased to [REDACTED]. Rohde Ex. 1 (first Excel) (summary tab). OJC uses the terms “Average Gross Profit Per Container” and “Average Net Profit Per Container” interchangeably in its brief. Compare OJC Brief at 35 (defining “Average Gross Profit Per Container” as [REDACTED]) with OJC Brief at 38-39 (referring to [REDACTED] as “Average Net Profit Per Container”).

¹¹ Mr. Berning does not know if either calculation was made in the ordinary course of business or for purposes of this proceeding. RX1061, 129:14-17; RX1063 134:15-135:19.

RESPONSE: Denied. OJC produced all the raw sales data from its database. [OJC Ex. 101, Sales Tab. Additionally, Mr. Berning testified that the “underlying data [received from OJC] is s raw data,” and it is “ typical [and common] for [a] customers [to] provide data from a database, [in] an Excel format.” Furthermore, Mr. Berning testified that “my understanding is that their system is certainly a paperless system, so there aren't, you know, physical slips out there showing what the invoices were. It's all captured in one central system electronically, and that's the source of this information [in the Excel Sheet provided], and this raw data that comes from a database, [and] reflect[s] the invoices” RX1106, 306:8-308:15;

146. Mr. Berning did not review any documentation concerning the variable costs Mr. Weiss included in his calculation of average gross profits per container. RX1082, 213:16-215:16.¹²

RESPONSE: Denied. See Response to No. 145.

147. OJC did not produce—and Mr. Berning did not review—any documentation such as bills of lading and purchase orders to verify the total containers OJC shipped during the Contract Term from June 23, 2020 to May 31, 2021, and the contents of those containers. RX1041, 48:15-49:2; RX1092, 252:2-253:13 (RB); RX1092, 252:11-18 (RB); RX1121, ¶ 11).

RESPONSE: Denied. See Response to No. 145.

148. OJC did not produce—and Mr. Berning did not review—any container volume data to assess the reasonableness of Mr. Weiss’ projection that OJC would have shipped up to 4,700 FFEs in 2021-22 had HSDG entered a new service contract for 2021-22. RX1092-93, 252:23-

¹² Messrs. Weiss and Berning both concede that “Average Gross Profit Per Container” may not have included all variable costs, stating that OJC “[REDACTED].” CX423; CX470-CX471, ¶ 20.

RESPONSE: Denied. See Response to No. 145. Additionally, Mr. Berning explicitly included into his report that he relied on “Excel File titled Container Projections 2021.” CX437, OJ Ex. 101, which outlines exactly the formula on how those projections were made. Mr. Berning also testified as to the reasonableness of those projections. “Q:... is it reasonable to assume that OJCommerce's sales would have also increased by 2300 percent? A: It's certainly possible because during those times, everything was different,” Mr. Berning also explained in more detail that “that little thing called COVID changed everything. So, you know, in 2018 or '19, we would not have seen these kind of sales increases for these specific types of products, but during COVID, the demand for the specific types of products that we're talking about increased substantially.” RX1108, 314:23,316:25. Weiss Ex. 101 includes (a) data of the 737 containers shipped by OJC from June 1, 2020, around when the parties’ Service Contract started, until June 2020 - July 2022. For each container, OJC provided Maersk with 13 points of data, including but not limited to the exact origin, destination, shipping carrier, ship date, arrival date, container value, and the exact price paid; (b) a total of 2,830 records of all the contents in the 737 containers. For each line item, OJC provided 12 points of data, including but not limited to the product descriptions, total units, unit cost, profits, revenue, and pricing; and (c) a total of 366,709 records of sales history on all those products, starting from January 1, 2020, to August 17, 2022. For each sales transaction, OJC provided 12 points of data, including the order number, order date, order source, price paid, item ordered, quantity ordered, cost of shipping, cost of fulfillment, commissions, marketing, discounts, sales, and gross revenue, all from OJC’s internal database used for its day-to-day business

operations. (SCX511, ¶¶ 7.)

149. OJC did not produce—and Mr. Berning did not review—any container volume data before June 1, 2020 or after July 16, 2022 to assess the reasonableness of Mr. Weiss’ projection that OJC would have sold up to 4,700 FFEs of products in 2021-22—a [REDACTED] increase over 2020-21—had HSDG entered a new service contract. RX1083, 216:15-217:14 (RB); RX1120 ¶ 9.

RESPONSE: Admitted that Mr. Berning did not review data from pre-covid years, but Denied that such data reflects the reasonableness of OJC’s projections. See Response to No. 148.

150. The chart below highlights the differences between the damage summary Mr. Weiss prepared in July 2022 (Rohde Ex. 1), and the “updated” damage summary he prepared in September 2022. (Weiss Ex. 101). As noted, Mr. Berning’s calculations match *exactly* the updated data and calculations prepared by Mr. Weiss. *Compare CX415-438, with Weiss Ex. 101.*

	OJC Damage Calculations July 14, 2022 Rohde Ex. 1	OJC Updated Calculations Sept. 2, 2022 Weiss Ex. 101	Berning Report Sept. 2, 2022 CX415-59
FY20 Average Gross Revenue Per Container	[REDACTED]	[REDACTED]	[REDACTED]
FY20 Average Gross Profit Per Container	[REDACTED]	[REDACTED]	[REDACTED]
FFEs shipped by HS in FY20	185	185	185
FY20 Damages for Failure to Meet Minimum FFE	[REDACTED]	[REDACTED]	[REDACTED]
FY20 Weekly Shortfalls	74	105	105
FY20 Weekly Shortfall Damages	[REDACTED]	[REDACTED]	[REDACTED]
Containers shipped FY21 at Spot Rates	95	143	143
Damages for actual FY21 Shipments	[REDACTED]	[REDACTED]	[REDACTED]
Refusal to Enter New 2021-22 Contract Minimum Containers	500	4,200	4,200
Damages (minimum)	[REDACTED]	[REDACTED]	[REDACTED]
Refusal to Enter New 2021-22 Contract Maximum Containers	4,500	4,700	4,700
Damages (maximum)	[REDACTED]	[REDACTED]	[REDACTED]

RX939.

RESPONSE: Admitted that Mr. Weiss’s early forecasts did not reflect the final numbers.

But denied that the final numbers were simple “updates.” Upon retaining Mr. Berning, and discussing in great detail all the relevant data, and what is the standard method used to calculate damages, OJC provided updated damages to reflect that. CX469, ¶ 18 (“Along with Richard Berning, I have calculated OJC’s damages based on the mathematics outlined in the Brief, this declaration, and Mr. Berning’s reports”). Furthermore, Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not “rubber stamp” OJC’s prior figures but in fact “came up with [his] own opinion,” (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (*See, e.g.*, RX 1041, 47:3 – 48:2.)

151. Mr. Berning admitted that he did not know why OJC’s calculations changed in the different versions of Mr. Weiss’ summary. RX1086, 227:5-229:24.

RESPONSE: Admitted. The earlier reports were not generated by Mr. Berning, and were not included as part of his report. *See* CX437, Documents and Information Considered. Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not “rubber stamp” OJC’s prior figures but in fact “came up with [his] own opinion,” (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (*See, e.g.*, RX 1041, 47:3 – 48:2.)

152. Mr. Berning endorsed Mr. Weiss’ calculations in their entirety without a single modification; Mr. Berning readily admitted this under oath: “[REDACTED]” when calculating damages. RX1086-87, 229:25-230:13.

RESPONSE: Denied. Upon retaining Mr. Berning, and discussing in great detail all the relevant data, and what is the standard method used to calculate damages, OJC provided updated damages to reflect that. CX469, ¶ 18 (“Along with Richard Berning, I have calculated OJC’s damages based on the mathematics outlined in the Brief, this declaration,

and Mr. Berning's reports"); Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not "rubber stamp" OJC's prior figures but in fact "came up with [his] own opinion," (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (*See, e.g.*, RX 1041, 47:3 – 48:2.)

153. Mr. Weiss is not qualified to be an expert on the issue of damages; he studied at United Talmudical Academy ("UTA"); he did not obtain any other degrees or certifications; he is not an accountant; and he did not receive any education at UTA or elsewhere concerning economics or accounting. RX1004-05, 40:23-44:2.

RESPONSE: Denied. Mr. Weiss has "30 years of experience calculating damages, profits, costs, financials, and other business- and litigation-related calculations." CX469, ¶ 18.

M. OJC's Alleged Damages

154. The damages OJC seeks all depend on Mr. Weiss' calculations of Average Gross Revenue Per Container and Average Gross Profit Per Container. CX422-CX426.

RESPONSE: Denied. Some of the theories depend on OJC's calculations, but not all. *See e.g.* Shipping Rate Differentials. CX426-30. Also denied that the implication that the calculations were only Mr. Weiss', as Mr. Berning acted independently of the parties (RX 1043, 55:2-17), and testified that he did not "rubber stamp" OJC's prior figures but in fact "came up with [his] own opinion," (RX 1044, 58:3 – 59:7), and he calculated the damages contained in his report. (*See, e.g.*, RX 1041, 47:3 – 48:2.)

1. Lost Profits for Failure to Meet MVC in 2020-21

155. Section 3(c) of the Service Contract provides for liquidated damages of \$250 per TEU "[i]n the event that the Minimum Volume Commitment of this Contract is reduced by 10% or more as a result of carrier's failure to provide space." CX121, ¶ 3(c).

RESPONSE: Admitted.

156. The actual containers transported by HSDG (185 FFEs) were within 10% of the MVC of 200 FFEs. CX121, ¶ 3(c).

RESPONSE: Admitted that it was less than 10% of the MVC, denied that it falls within ¶ 3(c).

157. Even setting aside the 10% threshold, the maximum damages that OJC could receive under the Service Contract for a 15 FFE shortfall would be \$7,500 (30 TEUs multiplied by \$250 per TEU). *See* CX121, ¶ 3(c).

RESPONSE: Denied. ¶ 3(c) only applies to 10% or more, not when it's less than 10%. ¶ 3(c) does not apply to a bad faith retaliation, in violation of the Shipping Act. Additionally, liquidated damages clauses do not apply when the actual damages can be calculated, as is the case here.

2. Lost Profits for Failure to Provide “Regular Weekly Shipments”

158. There is no contractual requirement that HSDG provide regular weekly shipments to OJC during the “Contract Term,” defined as June 23, 2020 to May 31, 2021. The Service Contract merely imposes a 200 FFE MVC during the Contract Term. CX120, § 3(a); CX125; RX1133, ¶¶ 11-12.

RESPONSE: Denied. The Service Contract states that the MVC “shall be reasonably spaced throughout the term hereof.” [CX125]. This interpretation of the agreement was also confirmed by Respondent. [CX153] (“Please note that there is a MQC of 10 TEUS per week under the agreement# AECC0000291.”).

159. Section 17 of the Service Contract states:

“Amendments to this Contract must be executed by both parties” and it allows “amendments in an electronic mail format (e-mail), transmitted via the Internet and executed by the parties with an electronic signature.”

CX124. However, the term “electronic signature means an exchange of emails between the parties to which the parties attach the amendments to the Agreement and in which the parties state that they agree to terms and conditions of such amendment.”

CX124, § 17. There were no amendments to the Service Contract. RX1133, ¶ 10.

RESPONSE: Denied. There was an amendment to the agreement. CX156 (“There was not a formal documentation. Customer was informed by email that SP was increased [from 8] to 10 TEU per week on 08/03/2020”). Respondents also interpreted that email to be an amendment. CX153 (“Please note that there is a MQC of 10 TEUS per week under the agreement# AECC0000291.”).

3. Lost Profits for Freight Charges Above Contract Rates for 2021-22

160. OJC did not provide any documentation to verify the [REDACTED] FFEs it claims to have shipped in 2021-22, or the spot rates it allegedly paid to ship those containers. OJC also refused to produce its service contracts with other carriers that could inform the rates paid. RX1120, ¶ 7.

RESPONSE: Denied. OJC provided all the raw data of its containers, container content, and the precise price it paid for those containers. See. OJ Ex. 101, Tab Containers, Container Content. Containers Tab Column G contains the exact amount paid for each container.

161. The container information Mr. Weiss purportedly pulled from OJC’s database changed over time. Mr. Weiss’ July 14, 2022 spreadsheet states that OJC shipped [REDACTED] FFEs from June 1, 2021 to March 24, 2022, Rohde Ex. 1 (summary tab), whereas the updated spreadsheet produced on September 2, 2022 states that OJC shipped [REDACTED] FFEs during this same period. Weiss Ex. 101 (summary tab).

RESPONSE: Admitted that updates were made and supplemented when the data became more accurate, in accordance with the rules of civil procedure.

162. OJC fails to identify the “source” of the rates it claims it would have paid for shipments from Asia to Kentucky in 2021-22. OJC’s table references a “Proposal” without further explanation or citation to the record. OJC Brief at 40.

RESPONSE: Denied. OJC provided spot rates it received from Xeneta and Drewry. OJ Ex. 101, Tab SpotRateDamages. See also OJC Ex. 104 (Drewry); Ex. 105 (Xeneta); Ex. 107 (Xeneta); Furthermore, the records reflecting the rates to Kentucky describe the exact formula used. See Column No.C6:N6, C16:N16. Additionally, Mr. Berning in his report, and Mr. Weiss in his declaration, specifically addressed this as follows:

For the China to Kentucky routes, neither Xenta or Drewry had sufficient data points that allowed them to confidently publish rates. Rather, I used a multiplier of China to California, at the same ratio as the contract rates.

CX427; CX474.

4. Lost Profits for “Refusal to Renew Service Contract in 2021-22”

163. OJC claims—for the first time in its November 9, 2022 brief—that OJC and Maersk agreed to the 4200-4700 container MVC for 2021-2022. OJC Brief at 36. There was no such agreement, and there are no contemporaneous documents supporting OJC’s position. *See supra* ¶¶ 78-79.

RESPONSE: Denied. There are documents going back to at least April 27, 2021, prior to the retaliation, by Ms. Casanova, confirming the 4200-4700 containers for 2021-22. CX203. There is also a projection that was generated by OJC back in May 2021 confirming a demand for 4598 containers. See OJ Ex. 100, Containers Tab, Column Y1. There was also an explicit agreement. CX475, ¶ 34 (“As a result of Maersk’s promises, the Parties agreed to ship 4200-4700 FFE in 2021-2022”).

5. “Shipping Rate Differentials” Method

164. The shipping rate differential method incorrectly uses spot market rates for 2021-

22 from third party sources such as Xeneta and Drewry. OJC Brief at 43-45. There is no reason to use third-party sources when OJC knows the precise rates that it paid to ship [REDACTED] FFEs in 2021-22. *See supra* ¶¶ 160-162.

RESPONSE: Denied. Xeneta and Drewry are much more reliable to obtain spot market rates, as they are large companies commercially used to provide such data. Additionally, OJC's relatively small sample of shipments is not an accurate reflection of real market rates. SCX511-512, ¶ 8; *see also* OJC's Brief, Sanctions Section.

N. OJC Failed to Mitigate Its Alleged Damages

165. OJC refused to produce (or did not have) any documentation showing it made any effort to secure space or transport cargo with any other carrier, NVOCC or forwarder. RX1090, 244:19-248:23; RX1120, ¶ 7.

RESPONSE: Denied. OJC provided a detailed list of all the successful efforts to transport cargo, and mitigate the damages after Respondent's retaliation. See OJ Ex. 101, Tab Containers, Starting at Line No. 558.

166. In his Supplemental Report, Mr. Berning assumes that 3,000 FFEs of an estimated 4,700 FFEs would be transported from Asia to California—the only trade lane in his analysis covered by the Service Contract—at a cost of [REDACTED] per FFE (based on Xeneta data). CX463. Mr. Berning also assumes a [REDACTED] gross profit per container before incurring the increased shipping costs. CX424.

RESPONSE: Admitted that one of the tables in CX463 estimates 3000 shipments from Asia to California at a rate of [REDACTED], based on Xeneta data. Admitted that in his original report, CX424, the gross profit per container was calculated to be [REDACTED].

167. While this assumption that 3,000 FFEs of the projected 4,700 FFEs would be

transported from Asia to California is inconsistent with Mr. Weiss' statement that 70% of the projected 4,700 FFEs would be transported from Asia to Kentucky, CX203, these figures suggest that OJC elected to forgo approximately [REDACTED] of profits. [REDACTED] [REDACTED]). RX1172, ¶ 77.

RESPONSE: Denied. Respondent simply misstates basic math. The table Respondent's refers to estimates 3000 containers from Asia to CA and 1250 from Asia to KY. CX463 Table No. 2. The distribution is precisely 70%. $3000 / (3000 + 1250)$. Additionally, OJC repeatedly "informed [Respondent] that if Kentucky was again an issue, OJC could ship all [Containers] through California." [CX175, ¶ 35]. Additionally, OJC denies that it "elected," to forgo any profit. Instead, OJC was severely damaged by Respondent's retaliation. SCX510-512, ¶¶ 6, 8-9.

168. By comparison, OJC's purported total profits from both business segments (measured by Earnings before Taxes or "EBT") in 2019 were [REDACTED]. RX1172, ¶ 78.

RESPONSE: Denied that pre-pandemic 2019 profits bear any relevance to pandemic profits. *See* RX1108, 314:23,316:25 ("that little thing called COVID changed everything. So, you know, in 2018 or '19, we would not have seen these kind of sales increases for these specific types of products, but during COVID, the demand for the specific types of products that we're talking about increased substantially.")

169. Assuming the accuracy of all other inputs and assumptions, OJC's *own* damage model indicates that it elected to voluntarily forego profits [REDACTED] **higher** than it ever experienced in its history. RX1172, ¶ 78.

RESPONSE: Denied. OJC denies that it "elected," "voluntarily," to forgo any profit. Instead, OJC was severely damaged by Respondent's retaliation. SCX510-512, ¶¶ 6, 8-9.

O. HSDG Complied with Its Discovery Obligations

170. In response to OJC's Document Request No. 26, HSDG produced responsive documents, including documents relating to service contract pricing strategy for 2021-22 and internal spot rate guidance issued on a bi-weekly basis from the third quarter of 2019 to mid-2022. RX1122, ¶ 18. HSDG voluntarily produced spot rate data for a longer period than required under the June 29 Order. RX1122, ¶ 18.

RESPONSE: Denied. Respondent did not provide any accurate spot rate data. CX007, ¶ 54 ("Maersk refused to produce any documents – including all internal and external communications – concerning their policies, procedures, or plans concerning blank sailings (which are used to manipulate pricing and space), documents showing their actual spot market rates charged for 2021-2022, and documents showing their service contract rates for 2021-2022.")

171. On September 7, 2022, Respondents identified: (i) Ivan Cheung, the person most knowledgeable about trans-Pacific eastbound spot rates from November 2020 to the present; (ii) Rodrigo Pestana, the person most knowledgeable about such rates prior to November 2020; (iii) Johan Sigsgaard (Global Head of Ocean Products and Senior Vice President at Maersk A/S), the highest ranking person in the Maersk organization with authority over rates from April of 2021 to the present; and (iv) Silvia Ding, Mr. Sigsgaard's predecessor. RX1122-23, ¶¶ 20-21.

RESPONSE: Admitted that these witnesses were disclosed.

172. On September 16, 2022, in response to OJC's Interrogatory seeking the identity of persons who set, authorize, or otherwise determine pricing for service contracts, HSDG further identified: (i) Amit Sethi (Global Head of Ocean Contract Product); (ii) Liezel Du Toit (Senior Director, Head of Spot Products); (iii) Lee Michael Sissons (Head of Ocean, Asia Pacific); (iv) Anne-Sophie Zerland Karlsen (Head of Asia Pacific Ocean Customer Logistics); (v) Thiago

Guimares Covre (Regional Head of Trade, Sealand Americas); and (vi) Michael Britton (Managing Director, Sealand Americas. RX456-57, Request No. 1.

RESPONSE: Admitted that these witnesses were disclosed.

173. The only person OJC sought to depose was Mr. Sigsgaard. RX1123, ¶ 22.

RESPONSE: Admitted that OJC sought to depose Mr. Sigsgaard. Denied that he was the *only* witness sought to be deposed. In particular, on October 1, 2022, OJC requested to depose Ricardo Zayas, Rodrigo Pestana, Ivan Cheung, Michelle Li Yu Xu, and Laurence Yu Ye. RX486.

174. Mr. Sigsgaard is the Global Head of Ocean Products and Senior Vice President at Maersk A/S, located in Copenhagen, Denmark. RX1127; ¶ 1. In that role, Mr. Sigsgaard has overall responsibility for all pricing decisions relating to ocean transportation of cargo by Maersk A/S, but due to the size and global scale of the operations, he carries out his responsibility through intermediate levels of management, including the personnel HSDG identified in response to OJC's Interrogatory. *Id.* ¶¶ 3-4.

RESPONSE: Admitted that Johan Sigsgaard made these statements in his self serving affidavit. Otherwise denied.

175. HSDG offered OJC the only blocks of time Mr. Sigsgaard was available, 8 am to 12 noon eastern on October 5, 2022 and 8:45 am to 11:15 eastern on October 7, 2022, which together totaled 6.5 hours. CX329-330; RX1128 ¶ 6. When OJC advised that they could not take the deposition on October 5,¹³ HSDG's counsel offered to extend the time for the deposition on October 7 to run from 8:45 am to 1 pm eastern. CX328. OJC refused to take Mr. Sigsgaard's deposition, insisting that it was entitled to seven hours on a single day. CX326-328.

¹³ The communications regarding Mr. Sigsgaard's deposition occurred with Aaron Davis, counsel for OJC. Upon information and belief, October 5 was not a holiday for Mr. Davis.

RESPONSE: Admitted the date and time communications, but denied that Mr. Sigsgaard was adequately available as required by the Court.

176. OJC noticed the deposition of HSDG's expert witness, Ricardo Zayas, for September 8, 2022, RX469-70, but cancelled that deposition on September 6, 2022. RX474.

RESPONSE: Admitted that the deposition was initially scheduled for September 8, and was later postponed - per Respondent's request - after the Court granted an extension. However, Respondent never provided an alternate date. RX474.

177. OJC apparently sought documents on blank sailings on the theory that blank sailings were used by HSDG to manipulate pricing and space. OJC Brief at 31. Given that HSDG did not operate vessels in the trans-Pacific trade and had no ability to blank sailings, this allegation is baseless. RX916-23. HSDG served its customers in the trans-Pacific trade using space chartered from Maersk. *See* RX916-23.

RESPONSE: Denied. Respondent repeatedly plays musical corporations between HSDG and Maersk, and keeps pointing fingers from Maersk to HSDG and vice versa. But as admitted by Maersk, "HSDG no longer exists," (CX 67, n.1), HSDG was merged into Maersk (CX 67, n.1), and "Hamburg Sud became part of the business of Maersk" in 2017 (CX 89, 109:23 - 112:5).

178. Of the more than 15,000 pages of documents produced by Respondents, approximately 421 pages or **2.8%** were designated "confidential," and approximately 271 pages or **1.8%** were designated "attorneys' eyes only. RX1123, ¶ 25. The vast majority of these documents consisted of the confidential Service Contract (which OJC improperly attached to its Complaint) and/or documents with rate information.

RESPONSE: Admitted the numbers are accurate. Denied that all of those documents

consist of “confidential” data. *See* OJC’s Reply, Sanctions Section.

Dated: December 23, 2022

Respectfully Submitted,

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